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Faculty of Regional Development and International Studies



The Impact of Foreign Direct Investment on the Nigerian Economy

Master's Thesis

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In Brno, May 2022.



Kevin Obioma Akalonu

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ABSTRACT

This study investigated the impact of Foreign Direct Investment (FDI) on Nigeria's economy. The study's objectives were addressed using the descriptive method and Autoregressive Distributed Lag (ARDL) estimation technique. The study used quarterly time-series data from the World Bank covering the periods of 2000Q1 to 2020Q4.

The findings revealed that FDI crowds out economic growth in Nigeria's short run and long run. In other words, the results suggest that FDI have a negative impact on economic growth. Labour supply supports economic growth, and capital does not exert a significant effect on economic growth in both the short run and long run. Nevertheless, the results show that the exchange rate exerts a positive and significant impact on economic growth in the long run and the interest rate exerts a positive and significant effect on economic growth in both the short run and long run. The study recommends that institutions be strengthened to ensure that FDI inflow supports economic growth in the country. Similarly, the Nigerian government should channel FDI towards the sectors with comparative costs in production.

Keywords: capital, economic growth, exchange rate, FDI, GDP, interest rate

ABSTRAKT

Tato studie zkoumala dopad přímých zahraničních investic (PZI) na nigerijskou ekonomiku. Cíle studie byly řešeny pomocí deskriptivní metody a techniky odhadu autoregresního rozloženého zpoždění (ARDL). Ve studii byly použity čtvrtletní časové řady údajů Světové banky za období od 1. čtvrtletí 2000 do 4. čtvrtletí 2020.

Zjištění odhalila, že přímé zahraniční investice v Nigérii vytlačují hospodářský růst v krátkodobém i dlouhodobém horizontu. Jinými slovy, výsledky naznačují, že PZI mají negativní dopad na hospodářský růst. Nabídka práce podporuje hospodářský růst a kapitál nemá významný vliv na hospodářský růst v krátkém i dlouhém období. Výsledky nicméně ukazují, že směnný kurz má pozitivní a významný vliv na hospodářský růst v dlouhém období a úroková míra má pozitivní a významný vliv na hospodářský růst v krátkém i dlouhém období. Studie doporučuje, aby byly posíleny instituce, které zajistí, že příliv přímých zahraničních investic podpoří hospodářský růst v zemi. Stejně tak by nigerijská vláda měla směřovat PZI do odvětví s komparativními náklady na výrobu.

Klíčová slova: kapitál, hospodářský růst, směnný kurz, přímé zahraniční investice, HDP, úroková míra.

CONTENTS

1 INTRODUCTION.....	1
2 AIM AND METHODOLOGY.....	3
2.1 Aim of the study.....	3
2.2 Relevant Research Questions	3
2.3 Research methods	3
2.3.1 Source of Data.....	3
2.3.2 Data Analysis Procedures.....	4
2.3.3 Limitation of the study.....	7
2.4 Structure Of The Work.....	8
3 LITERATURE REVIEW.....	9
3.1 Conceptual Framework.....	9
3.2 Theories Of Foreign Direct Investmeent	10
3.2.1 Production Cycle Theory of Vernon.....	10
3.2.2 Eclectic Paradigm theory of Dunning.....	12
3.2.3 The Dependency Theory.....	13
3.2.4 The Theory of Exchange Rates on Imperfect Capital Markets.....	13
3.2.5 Classical Growth Theory.....	14
3.2.6 Neoclassical Growth theory.....	14
3.3 Empirical Literature	15
3.4 Global FDI Flow	20
3.4.1 Global FDI Inflows And Stocks	22
3.4.2 Global FDI Outflows And Stocks.....	25
3.5 Overview Of FDI Flow Into The Nigerian Economy	26
3.6 Trends Of FDI And Economic Growth In Nigeria.....	30
3.7 Factors Affecting The Flow Of FDI Into Nigerian Economy.....	32
4 RESULTS AND DISCUSSION	35
4.1 Country Profile	35
4.2 Descriptive Statistics Of Data.....	36
4.3 Unit Root Test of The Variables.....	38
4.4 Correlation Test.....	38
4.5 Cointegration Test.....	39
4.6 Empirical Result Of The Impact Of FDI On Economic Growth In Nigeria.	40
4.7 Post Estimation Diagnostioc Test.....	43

4.7.1 Normality Test.....	43
4.7.2 Serial Correlation LM Test Of The Selected ARDL Model.....	44
4.7.3 Heteroscedasticity Test.....	44
4.7.4 Stability Diagnostic Test.....	45
4.7.5 Ramsey Reset Test For Model Specification Test.....	46
4.8 <i>Evaluation of Research Hypotheses</i>	46
4.9 <i>Discussion Of Findings</i>	47
4.9.1 Summary of Findings.....	48
5 <i>CONCLUSION AND RECOMMENDATION</i>	49
5.1 <i>Conclusion</i>	49
5.2 <i>Recommendation</i>	50
<i>LIST OF REFERENCES</i>	51

List of tables

Table 1: Description of variable	6
Table 4.1: Descriptive statistics of data.....	35
Table 4.2: Result of augmented dicky-fuller(adf) unit root test.....	36
Table 4.3: Result of pairwise correlation matrix.....	38
Table 4.4: Result of bound test (cointegration of variables).....	38
Table 4.6.1: Result of short run impact of FDI on economic growth.....	40
Table 4.6.2: Result of short run impact of FDI on economic growth.....	41
Table 4.7.2: Result of breuch-godfrey serial correlation lm test.....	44
Table 4.7.3: Result of breuch-godfrey heteroscedasticity test.....	44
Table 4.7.5: Result of ramsey reset test.....	46

List of figures

Figure 3.1: Flowchart showing expected impact of FDI on the Nigerian economy.....	9
Figure 3.4a: Global FDI flow by regions.....	20
Figure 3.4b: Global FDI flow by selected groups.....	21
Figure 3.4.1a: Global FDI inflow and stocks by region.....	23
Figure 3.4.1b: Global FDI inflow and stocks by selected group.....	24
Figure 3.4.2: Global FDI outflow and stocks.....	25
Figure 3.5: Overview of FDI inflow into the nigerian economy.....	26
Figure 3.6: Trend of FDI net inflow (in %) of gdp, 2000-2021.....	30
Figure 4.1: Map of Nigeria.....	35
Figure 4.7.2: Normality test of the variables.....	44
Figure 4.7.4: Cusum test for short-run stability.....	45
Figure 4.7.5: Cusum test for long-run stability.....	46

LIST OF ABBREVIATIONS

ARDL	Autoregressive Distributed Lag
CBN	Central Bank Of Nigeria
EXR	Exchange Rate
FDI	Foreign Direct Investment
FPI	Foreign Private Investment
GDP	Gross Domestic Product
K	Capital
L	Labour
IMF	International Monetary Fund
INTR	Interest Rate
RGDP	Real Gross Domestic Product
MNC	Multinational Companies
NBS	National Bureau of Statistics
OECD	Organisation For Economic Co-Operation & Development
SSA	Sub-Saharan Africa
UNCTAD	United Nations Conference on Trade and Development
World Bank	International Bank for Reconstruction and Development

1 INTRODUCTION

Foreign direct investment (FDI) is an investment made by a company or an individual in a country other than the investor's home country to create a business or purchase an asset (Verter & Osakwe, 2015). Scholars stress that FDI can have significant positive benefits on developing a host economy. Aside from providing direct external financial finance, FDI can also provide vital technology and know-how and strengthen ties with local businesses, contributing to an economy's growth. These arguments have led developed and developing countries to offer incentives to stimulate foreign direct investment in their economies (Melnyk et al., 2014).

According to Aremu (2005), FDI is seen as a catalyst for economic growth because of the expected benefits it brings in the areas of foreign capital infusion to supplement domestic savings, which further encourages economic development in most developing economies like Nigeria. However, the benefits of FDI in any economy around the world cannot be overstated.

Nigeria is often regarded as Africa's largest economy and most populous country, with over 200 million people. The country is endowed with natural resources such as crude oil, coal, and gold. Although the economy is diversifying, crude oil sales have emerged as the primary source of export earnings and government revenues, with other sectors such as agriculture and industry contributing less to the country's overall growth. Currently, Nigeria is Africa's third-largest recipient of FDI. The US, UK, China, the Netherlands, and France are among the countries that have invested in Nigeria (UNCTAD, 2018).

It is crystal clear that the country's economy relies on revenue from crude oil sales, which accounts for the most significant majority of the country's budget, but it does not translate into game-changing wealth like those found in other oil-exporting nations. In recent years, Nigeria has seen a decrease in FDI flows, which could be due to her unfriendly business environment, championed by lack of transparency, pervasive corruption, poor infrastructure, high level of insecurity in the northern region by the Boko haram sect, kidnapping, and bandit attacks, among other factors (UNCTAD, 2018).

In response to these, successive administrations have enhanced trade and investments through policies. However, such efforts have not yielded the desired level of growth that will lead to expected development. However, the FDI that does exist is frequently directed towards extractive businesses, implying that the country's disproportionate rate of FDI inflow is due to

natural resources. At the same time, the size of the local market may also be a factor (Contractor et al., 2021).

Akinlo (2004) argues that FDI provides a small and insignificant amount to economic growth. The study suggests that both private capital and foreign capital have a minor and statistically insignificant impact on economic growth. The findings support the theory that extractive FDI is not as good for growth as manufacturing FDI.

An important question to ask is why Nigeria is still an underdeveloped and low-income country? On the other hand, one could argue that for the government to achieve its goal of economic independence, it is critical to implement policies that will attract FDI into the country. While it is frequently claimed that FDI brings with it the risk of a balance of payment crisis, its enormous potential for speeding up the pace of economic progress in developing countries cannot be overstated.

Some scholars opined that the best measure to transform most key sectors of developing economies like Nigeria is by creating well-articulated policies and creating a conducive environment that will attract FDI into the country (Ndubuisi et al., 2008; Ayadi, 2009; Dada et.al., 2021).

Against this background, it is imperative to note that many developing countries seek foreign investors to strengthen their economies by diversifying their foreign investment portfolios. However, most empirical research on the influence of FDI on economic growth suggests the opposite, resulting in a debate. Some empirical results revealed a negative association between FDI and economic growth, while others indicated that as FDI increases, it leads to higher productivity, implying a positive relationship between FDI and economic growth (Emmanuel, 2016; Adeleke et.al.,2014; Egbo, 2010). Suffice it to say that this study adds to the current literature by examining the impact of FDI on the Nigerian economy. Thus, it is expected that the findings of this study could guide scholars and policymakers in adopting the most effective policies that may well enhance the flow of FDI into the Nigerian economy.

2 AIM AND METHODOLOGY

2.1 Aim of the Study

The main objective of this study is to examine the impact of FDI on the Nigerian economy while the specific objectives are to:

- Assess the empirical relationship between FDI and Nigeria's economic growth in recent years.
- Explore the contribution of FDI to the Nigerian economy
- Examine factors affecting the FDI inflow in the Nigerian economy.
- Proffer relevant policy recommendations that will attract FDI into the Nigerian economy.

2.2 Relevant Research Questions

The following questions are asked to achieve the research objectives:

- What is the relationship existing between FDI and economic growth in Nigeria?
- What are the contributions of FDI to the Nigerian economy?
- What are the factors affecting the flow of FDI into the Nigerian economy?
- Are there appropriate policy options required to attract FDI into the Nigerian economy?

2.3 Research Methods

2.3.1 Sources of Data

The study on the impact of FDI on the Nigerian economy uses secondary data to achieve its set objectives. The researcher adopted secondary data because it is cost-effective and presents an appropriate description of the subject matter under investigation. The data for this study are sourced from the Central Bank Of Nigeria Statistical Bulletin (CBN) and Index Mundi World Development Indicators, which are data set prepared by the World Bank and proven to be reliable. In addition, the study also uses published journal articles, reports, conference proceedings, and books.

2.3.2 Data Analysis Procedures

This part of the study shows the methods, techniques, and approaches that the researcher used in order to achieve the objectives of the study. This study adopts descriptive statistical analysis and regression methods. The choice of these methods is that they're most suitable in explaining the relationship between two or more variables and also give proper details on the nature of the identified relationship among variables. The study considers data spanning 2000 to 2021. The following hypothesis is formulated based on the research questions to provide a guide towards achieving some of the study's objectives.

H₀: FDI has no positive significant impact on economic growth in Nigeria.

H₁: FDI has a positive significant impact on economic growth in Nigeria.

The data set for this study will be subjected to pre-estimation tests such as unit root tests, multicollinearity tests, and cointegration. The Augmented Dicky-Fuller (ADF) unit root test was used to test the stationarity of the data set. This is because stationary data could be used to make informed policy recommendations that would stand the test of time. To test for multicollinearity, the study adopted a pair-wise correlation matrix. The idea behind this test is that a pair-wise correlation matrix value in excess of 0.8 exhibits multicollinearity and vice versa (Gujarati, 2013). The cointegration method will be administered based on the order of integration of the variables. Cointegration measures the existence of a long-run association among the variables in the model. The variables are expected to exhibit co-movement among them in the long run.

After the pre-test, the study will use the Ordinary Least Squared (OLS) estimation technique to test the hypothesis raised. The Ordinary Least Square result is known for its BLUE characteristics. This means Best, Linear, Un-bias and efficient Estimator (BLUE). So, in the class of all other un-bias estimators, OLS estimators remain efficient estimators. Also, the study will conduct post-estimation tests such as serial correlation test, heteroscedasticity test, and stability diagnostic test.

In addition, this study adopts an ex-post facto research design to evaluate the effect of foreign direct investment on economic growth. Also, the study is anchored on the Solow–Swan model. The Solow–Swan model is a long-run economic growth model, sometimes known as the exogenous growth model. It tries to explain long-run economic growth by looking at capital accumulation, labor or population expansion, and productivity increases, driven mainly by technical innovation.

Usually, it is an aggregate production function of the Cobb–Douglas type that allows the model to establish contact with microeconomics (Acemoglu, 2009). In economics, the Solow model is one among the foremost extensively used models to elucidate economic process (Eric, 2017). This model describes the relationship between capital per capita and output per capita.

In this study, the level of output is represented by Real Gross Domestic Product (RGDP), the level of capital represented by K , and the level of labour represented by L , and they are all linked through the production function equation $Y = f(K, L)$.

According to the Solow Growth Model, the production function has constant returns to scale (CRS). Under such an assumption, if the levels of capital stock and labour are doubled, the output level will also be doubled. This model focuses on output per worker and capital per worker. Also, the study assumes that the production function is Cobb Douglas's production function, which is the most widely used neoclassical production function. This production function has the following format: $Y = aK^bL^{1-b}$ ————(2.1) where $0 < b < 1$

This shows that the linear model of Equation (2.1) is of the form,

$$\ln Y = \ln a + b \ln K + (1 - b) \ln L \text{ ———— (2.2)}$$

However, because Nigeria is among the countries facing challenges of shortage of capital stock for investment, this study recognized the importance of foreign direct investment (FDI) to economic growth. The benefit of foreign direct investment is that it allows host countries to make investments that surpass their local savings and boost capital creation. Also, the level of economic growth of a country depends on the exchange rate and the rental rate of capital (interest rate).

The linear model of the Cobb-Douglas production function in Equation (2.2) is expanded to incorporate the possibility of increasing returns to scale and other factors that affect output growth, such as FDI, exchange rate (EXR), and interest rate (INTR). With this, the functional specification of the model is presented as follows:

$$RGDP = f(K, L, FDI, EXR, INTR) \text{ ———— (2.3)}$$

The modified version of the model in Equation (2.2) that incorporates FDI , EXR and $INTR$ is given as;

$$\ln RGDP_t = \beta_0 + \beta_1 \ln K_t + \beta_2 \ln L_t + \beta_3 \ln FDI_t + \beta_4 \ln EXR_t + \beta_5 \ln INTR_t + \mu_t \text{ ———— (2.4)}$$

Where;

Ln represents natural log

RGDP = Gross Domestic Product

K = Capital (proxy by gross capital formation)

L = Labour force

FDI = Foreign Direct Investment

EXR= Exchange rate

INTR = Interest rate

β_0 = Intercept

$\beta_1, \beta_2, \dots, \beta_5$ = Slopes and also the coefficients of the independent variables,

μ_t = Error term.

Table 1: Description of Variable

Variables	Abbreviation	Description	A priori Expectation	Interpretation
Log of Real Gross Domestic Product	LnRGDP	This is the natural log of real gross domestic product. It is a proxy for economic growth. The real gross domestic product is measured in Naira.	The lag of real gross domestic product is expected to exert positive effect on the current value of real domestic product.	This is to be interpreted as elasticity (percentage change) because of the natural log.
Foreign Direct Investment	LnFDI	This is the natural log of the net inflow of foreign direct investment measured in US dollars.	An increase in FDI by US 1 dollar is expected to exert a positive effect on economic growth	This is to be interpreted as elasticity (percentage change) because of the natural log.
Capital	LnK	This is the natural log of capital. Capital is proxy by gross capital formation. It measured in local currency unit (naira)	One naira increase in capital is expected to increase economic growth	This is to be interpreted as elasticity (percentage change) because of the natural log.
Labour	LnL	This is the natural log of labour force. It is the total number of working-age people (15-65 years).	Nigeria is a labour-intensive country, and an increase in the labour force is expected to produce positive effect on economic growth	This is to be interpreted as elasticity (percentage change) because of the natural log.

Exchange Rate	lnEXR	This is the natural log of the exchange rate. The exchange rate is when naira is exchanged for US 1 dollar.	An increase in the rate at which naira is exchanged for US 1 dollar is expected to increase economic growth because importation will become costly while exports will become cheap. However, for importing country like Nigeria, an increase in exchange rate will crowd out economic growth.	This is to be interpreted as elasticity (percentage change) because of the natural log.
Interest rate	INTR	This is the lending interest rate. Interest rate is the cost of capital or the rental rate of capital. It is measured in percentages	Interest rate is expected to increase the amount of capital inflow into the country to take the advantage of interest rate differential. This is expected to exert positive effect on economic growth.	This is to be interpreted as percentage change because the variable is measured in percentages

Source: Author's compilation, 2022

Lastly, objective one of the study will be addressed using the model in Eq. (2.4), while objectives two and three will also be reviewed graphically by plotting the graph of the various contributions of FDI to economic growth and factors affecting FDI inflow into the country. Objective four has to do with a recommendation that is a product of the outcome in objectives one, two, and three.

2.3.3 Limitation of the Study

This study was critically done to bring out the best of it. It is in view of this that the researcher spent time and resources available to make sure that quality is not compromised. However, this study has certain drawbacks. The study concentrated on foreign direct investment which is only a small aspect of the Nigerian economy. Another limitation to this study is the data collection and transformation method used for the regression analysis, which shows the relationship between the variables used in the study. Most of the data were numerically large, resulting in a spurious result. To cushion this limitation, the researcher ensured that the variables were measured using the same level of measurement by logging the numerical value of the variables

to reduce them into smaller digits to avoid the risk of large numbers or outliers that may affect the result of the study.

2.4 Structure of the Work

The study is elaborated in the following structures; chapter one covers the introduction, which provides details on the background of the study, statement of the problem, and significance of the study. Chapter two describes the aims of the research and the methodology used. It further explains the research questions, hypothesis, data sources, analysis procedures, and the study's Limitations. Chapter three introduces the review of literature that relates to the study. It focused on both published and unpublished books, articles, and journals relating to the subject matter and the study's theoretical framework.

Chapter four presents the empirical findings of the study using tables, charts, graphs, and figures. The chapter interprets the results and describes the significance of the findings concerning the research question of the subject matter. Chapter five presents the conclusion of the study based on the study's findings and draws relevant policy recommendations that will attract FDI into the Nigerian economy.

3 LITERATURE REVIEW

FDI has always been a significant driver of economic growth, particularly in developing countries. The associated literature related to the subject matter is presented in this chapter under the headings of the conceptual framework, theoretical framework, and empirical literature review.

3.1 Conceptual framework

Oseghale and Amonkhienan (1987) show a connection between FDI and economic growth. They discovered that FDI is positively related to GDP, implying that more FDI inflows will improve economic performance. Ayanwale and Bamire (2001) examined the impact of FDI on business productivity in Nigeria and found that foreign firms have a positive spillover effect on native firms' productivity. Melnyk et al. (2014) maintain that FDI can be a source of valuable technology and know-how while developing links with local enterprises, which can help restart an economy and provide direct capital finance. The figure 3.I depicts the expected impact of FDI on the Nigerian economy.

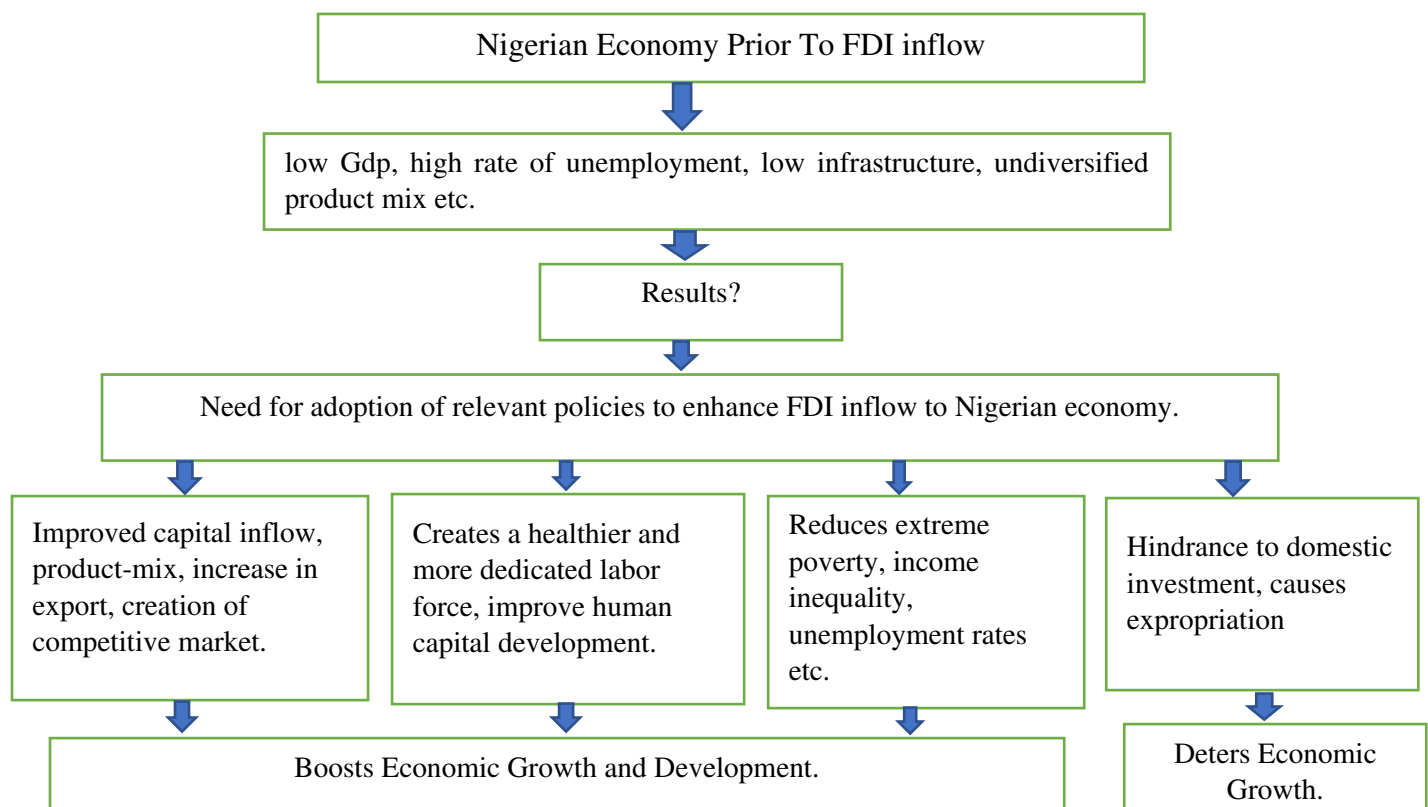


Figure 3.1: Flowchart showing expected impact of FDI on economic growth

Source : Authors compilation, 2022

From figure 3.1, one of the most obvious benefits of FDI is the creation of jobs, which is one of the main reasons a country, particularly a developing one like Nigeria, will seek to attract foreign direct investment. FDI promotes both the manufacturing and service sectors, thus resulting in jobs and reducing the country's unemployment rates. It is imperative to note that increased employment leads to better wages and more purchasing power, strengthening a country's overall economy. (Research FDI, 2021).

It is also well recognized that FDI can stifle domestic investment. In this case, local enterprises in a country may lose interest in investing in domestic products due to FDI. Frequent political transitions can also trigger expropriation. In this view, governments of those countries where the investments are made will have power over the property and assets of investors. (Research FDI, 2021). It is important to highlight that FDI performance in Nigeria has been poor in recent years, which has been attributed to the country's weak macroeconomic environment. The size of the market, human capital, and a stable macroeconomic environment are all factors that influence the success of foreign investments in a country.

According Omankhanlen (2011), FDI comprises external resources such as technology, management and marketing expertise, and finance to support these claims. All of these factors have a significant impact on the host country's productive capabilities, and the success of government policies aimed at stimulating the economy's productive base is largely dependent on the host country's ability to manage an adequate amount of FDI, which includes managerial, capital, and technological resources, to maintain existing production capacity.

Direct Foreign Investment (DFI) was defined in many ways by Kumar (2007). The first and most likely scenario involves the parent company infusing equity resources into foreign affiliates by purchasing shares. The second option is to reinvest the affiliate's earnings. Third, it may comprise short-or foreign investment, which has expanded quickly as a percentage of GDP, becoming the major source of cash flowing from industrialized to developing countries.

In conceptualizing FDI and its impact on economic growth, the fundamental agreement is that FDI spillover is dependent on the host country's ability to absorb the type of investment and foreign technology involved. The relationship between economic growth and FDI is classified as conditional on the country through which it passes. The extent to which FDI contributes to economic growth is said to be dependent on the recipient country's economic and social conditions, or in other words, the quality of its environment (Zhang, 2001).

3.2 Theories of FDI

Theoretical work on FDI has resulted in a greater knowledge of the economic mechanism and the behavior of economic agents at both the micro and macro levels, allowing for new fields of research on economic theory to be explored. Divergent ideas on the impact and determinants of FDI entry into recipient countries left each researcher guessing which is the appropriate theory. The complexity of the global economic environment contributes to scholars' differing views on the drivers of FDI and its impact. It is imperative to understand FDI and analyze the major trends in FDI theory and how and why these theories came.

It is crystal clear that foreign direct investments are receiving increasing attention these days, both national and international. Many theoretical articles have been written on FDI's challenges, with J. Dunning, S. Hymer, and R. Vernon developing the key studies on FDI's reasons. Economists feel that FDI is a critical component of economic growth and development, particularly in developing nations (Wint & William, 2002). The theories of FDI are discussed under the following subheadings:

3.2.1. Production Cycle Theory of Vernon.

Vernon's production cycle theory, developed in 1966, was used to explain some types of foreign direct investment in the manufacturing industry undertaken by US corporations in Western Europe following World War Two (WWII).

According to Vernon (1966), transnational enterprises in the United States develop new inventive items for local consumption and then export the surplus to international service markets. To explain a product's life cycle, the theory aims to unify three stages of production. The introduction of innovation is the initial stage of this model. New items are said to be conceived, manufactured, and marketed in countries with the highest incomes and skill levels. If a product is successful in a wealthy market, manufacturing will increase, other markets will be sought, and export will grow. This is the start of the second stage, maturation. The price elasticity of demand for the product is relatively low. If the product's demand grows in the international market, and new competitors emerge. The original company builds a production unit in a foreign country to meet rising foreign demand and compete with rivals. The company goes international in the second stage. Product standardization is a feature of the final stage that takes form. The method of production became well-known and reached its pinnacle. As a result, investment continues to flow to any area where costs are the lowest.

The theory asserts that FDI will occur once a foreign market is large enough to support local production. On the other hand, it cannot determine whether it is lucrative to invest globally. Vernon (1979) recognized that the circumstances had altered dramatically since he formulated his hypothesis, reducing its predictive potential significantly (Latorre, 2008).

3.2.2. Eclectic Paradigm theory of Dunning:

Dunning created one of the most strong and convincing theories of FDI in the 1970s. The eclectic paradigm is a way of examining the desirability of making a foreign direct investment that is based on economic and business principles. The OLI framework is used in the eclectic paradigm model. The framework's three layers of ownership, location, and internalization. (Dunning 1979).

Dunning (1988) uses three variables as important determinants of FDI in his eclectic theory of international production: ownership-specific, location-specific, and internalization. The "OLI framework" links international trade macroeconomic theory and firm microeconomic theory. It's a resource management and organizational economics exercise. In this theory, the competitive advantage of FDI can also be viewed as an ownership benefit. In this case, ownership can be described as possessing a unique and valuable resource that is difficult to duplicate, resulting in a competitive advantage over possible foreign competitors. It is affected by tangible assets like natural endowments, labor, and currency, as well as intangible assets like technology and information, management, marketing, entrepreneurial abilities, and organizational structures.

Furthermore, the framework explains that potential corporate host countries examined for FDI must have some competitive advantages: location. The location advantage clearly explains the host country's geographic advantages such as access to the ocean for sea freight activities or other uses. Other factors such as market structure, government legislation and regulations, and the political, legal, and cultural environments in which FDI is done are all examples of location-specific variables, also known as country-specific variables. On the other hand, internalization refers to a company's inherent ability to generate and market through its own internal subsidiaries. In this view, Companies assess the internalization benefit to choose which investment pathway or approach is most suited for their needs. This is done by deciding if it is more cost-effective to do the value chain activity in-house with their team or outsource it to a foreign country (Dunning, 1980).

It is imperative to note that all three sorts of circumstances must be met before FDI may take place, according to the eclectic hypothesis. However, one of the most common objections to the eclectic paradigm is that it contains so many variables that it loses all operational usefulness. Dunning acknowledged this, claiming that it was an unavoidable result of attempting to unify the various incentives for FDI into a single comprehensive framework (Dunning, 1988).

3.2.3. The Dependency Theory

Proponents of this theory argue, based on the Latin American experience, that free trade and foreign investment links with industrialized countries are the primary drivers of underdevelopment and exploitation of emerging economies (Wilham and Witter, 1998).

This theory is primarily concerned with the interaction between the center and the periphery. The established and industrialized countries are classified as the center, whereas the developing countries are classified as the periphery. In this theory, FDI is viewed as a route via which the center exploits the periphery and perpetuates its status of underdevelopment and dependence. Rather than encouraging economic growth, foreign direct investment stifles it and reinforces weaker governments' dominance (Wilham & Witter, 1998).

However, most multinational corporations have been accused of exploitation in this regard. There is a known viewpoint that MNCs have frequently been involved in natural resource exploitation with no matching benefits to host economies (UNCTAD, 1999). The dependency theory was developed in response to the exploitative nature of FDI.

3.2.4 The Theory of Exchange Rates on Imperfect Capital Markets

Another theory that attempted to explain FDI is the theory of exchange rates on imperfect capital markets. The foreign exchange risk was first examined from the standpoint of international trade.

Itagaki (1981) and Cushman (1985) investigated the impact of uncertainty on FDI. Cushman finds that a real exchange rate increase promoted USD FDI, whereas a foreign currency appreciation hindered American FDI in the only empirical examination done so far. According to Cushman, the dollar's gain has resulted in a 25% decline in FDI into the United States. The main criticism of this theory, on the other hand, is that the theory is unable to account for simultaneous foreign direct investment between nations with different currencies. Its

Proponents maintain that such investments are made at various times; however, there are many examples to refute this argument.

3.2.5. Classical Growth Theory

According to the classic idea, FDI and multinational corporations (MNCs) contribute to the host country's economic development. These include capital transfers, superior technological equipment and skills, improved balance of payments, increased tax base and foreign exchange profits, job creation, and integration of the host economy into global markets. The remarkable economic growth of newly industrialized countries like Hong Kong, Taiwan, Singapore, and South Korea, particularly in the 1980s and early 1990s (Muchlinski, 2003) and China's impressive growth, have bolstered these arguments concerning FDI. The classical theory has been promoted in recent years by international institutions and organizations such as the United Nations (UN), the World Bank, and the International Monetary Fund (IMF), focusing on the importance of FDI and the restricted role of the state.

3.2.6. Neoclassical Growth theory

Neoclassical growth theory is an economic theory that explains the interplay between three driving forces—labor, capital, and technology in production, which leads to a constant rate of economic expansion. According to the National Bureau of Economic Research, Robert Solow and Trevor Swan are credited with creating and establishing the long-run economic growth model in 1956. To establish the growth rate, the model first used exogenous population increases, but in 1957, Solow added technology change to the model. According to this theory, The accumulation of wealth within an economy and how people employ that capital is vital for economic growth. Furthermore, the interplay between capital and labour in an economy has an influence on production. Finally, in this theory, technology seems to boost labor productivity and expand labor's production capacities, thereby enhancing economic growth. in this regard, the production function of neoclassical growth theory is employed to assess an economy's growth and equilibrium. (Dimand & Spencer 2009).

As already established in its data analysis process, this study draws its theoretical support from the neoclassical growth model (Solow model) because it highlights the importance of FDI to economic growth in developing countries like Nigeria. In theory, FDI should benefit the host country by transferring resources, increasing employment opportunities, improving the balance of payments, and transferring technology.

It is also evident that Nigeria is one of the countries confronting a scarcity of capital stock for investment, a lack of sophisticated technology for enhanced productivity, though with an abundance of labor. The neoclassical theory also contends that technical advancements significantly impact an economy and that economic growth cannot be sustained without them. In this view, FDI allows host countries to undertake investments that exceed their domestic savings and hence increase capital creation, which is expected to create a favorable business environment for economic growth and development.

3.3 Empirical Literature

The impact of FDI on economic growth among emerging economies has sparked economists' interest. There is no doubt that there exists a large body of empirical literature on the impact of FDI on economic growth globally. The findings of most literature are sometimes controversial due to the varying economic situations prevailing in most of the countries examined. In analyzing the impact of FDI on economic growth in Nigeria, it is evident that many studies have been conducted in Nigeria to determine the relationship between FDI and economic growth. Some of these studies include Egbo (2010), who used annual secondary data covering 1981-2007, and the OLS estimation approach to examine how FDI inflows influence economic growth in Nigeria. Findings demonstrate that FDI boosts growth, implying a positive connection.

Also, Adeleke et al. (2014) examine the influence of FDI on Nigerian economic growth from 1999 to 2013. The findings revealed that foreign direct investment inflows are positive and statistically significant to Nigeria's economic growth, implying that FDI affects the Nigerian economy positively. The results of the study thus support the argument that FDI is an essential tool for economic growth and development.

John (2016) used multiple regression techniques to examine the impact of foreign direct investment on Nigerian economic growth from 1981 to 2015. The study discovered that foreign direct investment had a favorable and considerable impact on Nigerian economic growth as measured by GDP. It was also discovered that the exchange rate has a positive but insignificant effect on GDP.

Contributing to the debate on the impact of FDI on economic growth beyond the shores of Nigeria, Koojaroenprasit (2012) used South Korea as a case study to examine the impact of foreign direct investment on economic growth from 1980 to 2009. The estimated approach

used was multiple regression, and the results revealed that foreign direct investment had a strong and beneficial impact on economic growth in South Korea during the period studied.

In addition, the influence of FDI on economic growth in Cambodia is also favorable, according to a study by (Sokang, 2018), which used annual time series data from 2006 to 2016, analyzed using a correlation matrix and multiple regression to evaluate the impact of FDI on economic growth in Cambodia.

Lumbila (2005) investigates the impact of FDI on economic growth in 47 African countries over a two-decade period (1980–2000) in a similar study. The study found that FDI has a beneficial impact on economic growth in Africa using an unrelated regressions (SUR) analysis technique.

The literature thus presented so far indicates that FDI positively impacts economic growth and remains a viable tool for achieving economic growth and development in Nigeria and other parts of the world. However, in contrast to these findings, Danja (2012) suggests that FDI has a favorable association with Gross Fixed Capital Formation and the index of industrial production. The study further revealed that FDI has not contributed much to the Nigerian economy's growth and development.

Alfaro (2003) used cross-country data from 1981 to 1999 to examine the sectoral contribution of FDI in different sectors of the economy. The data revealed that total FDI has an ambiguous impact on economic growth. The study further suggests that FDI negatively influences the Nigerian economy in the primary sector, has a positive effect on manufacturing and has an uncertain effect on the service sector.

Another interesting work that gives clarity on the causal relationship between FDI and economic growth is Olumuyiwa (2013). In his study on the impact of FDI inflow on economic growth in a pre-and post-deregulated Nigerian economy covering the years 1970 to 2010, the result of the study found that there is a causality relationship between gross domestic product (GDP), a proxy for economic growth and FDI inflow in the pre-deregulation era (1970-1986), but there is no causal relationship between GDP and FDI inflow in the post-deregulation era. The study's findings entail that economic growth measured by GDP drives FDI inflows and that changes in GDP will automatically affect the flow of FDI in the pre-deregulation era but not in the post-deregulated period.

Ayadi (2009) investigates the relationship between FDI and economic growth in Nigeria, finding a weak correlation and causality between the variables and recommending that infrastructure development, human capital development, and strategic policies aimed at attracting FDI be increased.

Similarly, Osinubi and Amaghionyeidiwe (2010) looked at the relationship between FPI and Nigerian economic growth. The findings of the study show that FPI, domestic investment growth, net export growth, and the lagged error term were statistically significant in explaining fluctuations in Nigerian economic development, according to their findings.

Abbes et al. (2015) investigates the causal relationships between FDI and economic growth. The researchers used panel co-integration and Granger causality tests to examine data from 65 nations. The results suggest a unidirectional causality between FDI and GDP, while panel cointegration revealed a disparity during the study period.

Assessing the factors affecting the flow of FDI and its impact on economic growth in Nigeria, another recent study from Dada et al. (2021) examine the moderating influence of institutional quality in the foreign direct investment-led growth hypothesis in Nigeria from 1984 to 2018 using the autoregressive distributed lag estimation technique. According to the study, FDI has no direct positive impact on Nigeria's economic growth. In most models of FDI, it is usually observed that the interaction of institutional indicators and FDI has a major impact on economic growth. This suggests that institutions are a key tool that must be reinforced for the country to reap the full benefits of FDI's growth effect. The study argues that excellent institutional quality is essential for Nigeria's foreign direct investment and growth.

In another recent work by Giwa et al. (2020), they investigated the impact of FDI inflows into Nigeria on the real gross domestic product (RGDP) towards achieving Sustainable Development Goal 17 by employing the generalized methods of moments (GMM) estimation approach. According to the findings, labor quality positively and considerably impacts RGDP, as predicted by theory. In addition, the capital intensity was found to have a considerable negative impact on RGDP in Nigeria. As a result, the study proposes that Nigerian policymakers include an increase in capital intensity as a foundation for strengthening the economy through FDI spillover effects in their overall strategy.

Furthermore, Alfaro et al. (2004) investigate the various links between FDI, financial markets, and economic growth to determine whether countries with better financial systems can exploit

FDI more efficiently, using cross-country data from 1975 to 1995. The study demonstrates that FDI alone has an uncertain impact on economic growth. Countries with well-developed financial markets, on the other hand, benefit significantly from FDI. In the same vein, Alfaro et al. (2010) examined whether multinational corporations had positive externalities in their host countries. So far, the study suggests that FDI has both favourable and negative effects on GDP. According to the study, a rise in FDI share leads to higher incremental growth in financially developed nations than in financially underdeveloped economies.

Akinlo (2004) uses an error correction model to explore the impact of FDI on economic growth in Nigeria from 1970 to 2001. The study's findings demonstrate that both private capital and lag foreign capital have a minor, statistically insignificant impact on economic growth. The findings support the theory that extractive FDI is not as good for growth as manufacturing FDI. Furthermore, the findings suggest that export has a statistically significant beneficial impact on growth. Finally, the results indicate that human capital and the labor force positively impact growth. These findings point to the necessity for increased labor force participation and education policies to improve the country's human capital stock.

Verter and Osakwe (2015) attempted to assess the FDI-led growth hypothesis in developing economies. Using the macro-economic and the leading economic globalization indicators in Nigeria from 1980 to 2012, the results show that migrant remittances inflow has a positive relationship with economic performance in the short-run, while the economic globalization index hurts economic performance in the long-run. The study further revealed that both in the short and long run, the real effective exchange rate and trade openness had a detrimental impact on economic growth within the period examined. The study recommends that Nigerian policymakers aim to develop strong legislation and reliable institutional frameworks that would encourage increased capital flows into the country and guarantee the country's progress in the face of ongoing economic globalization.

Still, in the debate on the determinants of FDI especially in developing countries, it has been suggested that developing countries could improve their attractiveness as FDI destinations by pursuing measures that improve local skills and human resource capabilities. According to this viewpoint, Human capital, according to Noorbakhsh et al. (2001), is a statistically significant factor of FDI inflows, and it is one of the most important determinants because its relevance has increased over time.

Asiedu (2002) examines the factors that affect FDI in developing nations to see if they affect countries in Sub-Saharan Africa (SSA) differently. The study's findings show that higher returns on investment and better infrastructure boost FDI to non-SSA countries but have no effect on FDI to SSA. The study further revealed that enhanced trade openness boosts FDI to both SSA and non-SSA countries, but the marginal advantage of increased openness is lower for SSA. These findings reveal that Africa is unique, implying that strategies in other regions may not work well in Africa.

The works of Bailliu and Jeannine (2000) provide more understanding of the impact of FDI on economic growth across developing countries. The study used a model that considered the potential endogeneity of the explanatory variables by employing panel data covering the periods 1975 to 1995 from 40 developing nations. The study results demonstrate that capital inflows promote higher economic growth, independent of any effects on the investment rate, but only in economies with a developed banking sector.

The ultimate goal of most development policies of developing countries is to achieve economic prosperity by creating platforms that will attract FDI inflows. In this view, Porter's (1990) study, which is based on the Competitive Advantage of Nations, provides a clear picture of how prosperity is created and perpetuated in the current global economy. Traditional comparative advantages, such as natural resources and labor pools, have been replaced as drivers of success. According to the paper, a country's competitiveness is determined by its industry's ability to innovate and upgrade. The rationale behind this argument is that pressure and challenge provide organizations with an advantage over the world's best competitors, allowing them to benefit from strong domestic rivals, aggressive home-based suppliers, and demands from local customers.

Finally, the empirical assessment of previous works from researchers has revealed that diverse outcomes have been found in the literature in Nigeria and other parts of the world concerning the impact of FDI on economic growth while utilizing different methodologies and historical periods. However, there is no empirical consensus on the effects of FDI on Nigeria's economic growth. Some studies established a positive and significant impact of foreign direct investment on economic growth, while some found negative effects of FDI impact on economic growth. Another faction of the works of the literature suggests that economic growth causes FDI implying that changes in the composition of economic growth will unmistakably affect FDI.

Aside from these mixed and inconclusive findings, recent studies have highlighted the important role of institutional quality, developed financial institutions, an abundance of the labor force, and human capital development in facilitating FDI to impact economic growth in Nigeria positively and beyond. According to the researcher's knowledge, few studies on FDI and its impact on economic growth have been conducted in Nigeria, prompting the researcher to investigate the topic further.

3.4 Global FDI Flows

Emerging markets have been important FDI receivers in recent decades as a result of globalization. Multinationals invest in less crowded markets to maximize profit, spurred by emerging countries' market sizes, rapid expansion, and access to low-cost raw materials and labour relative to the developed world (UNCTAD,2008). Figure 3.4a depicts global FDI flow among groups of economies.

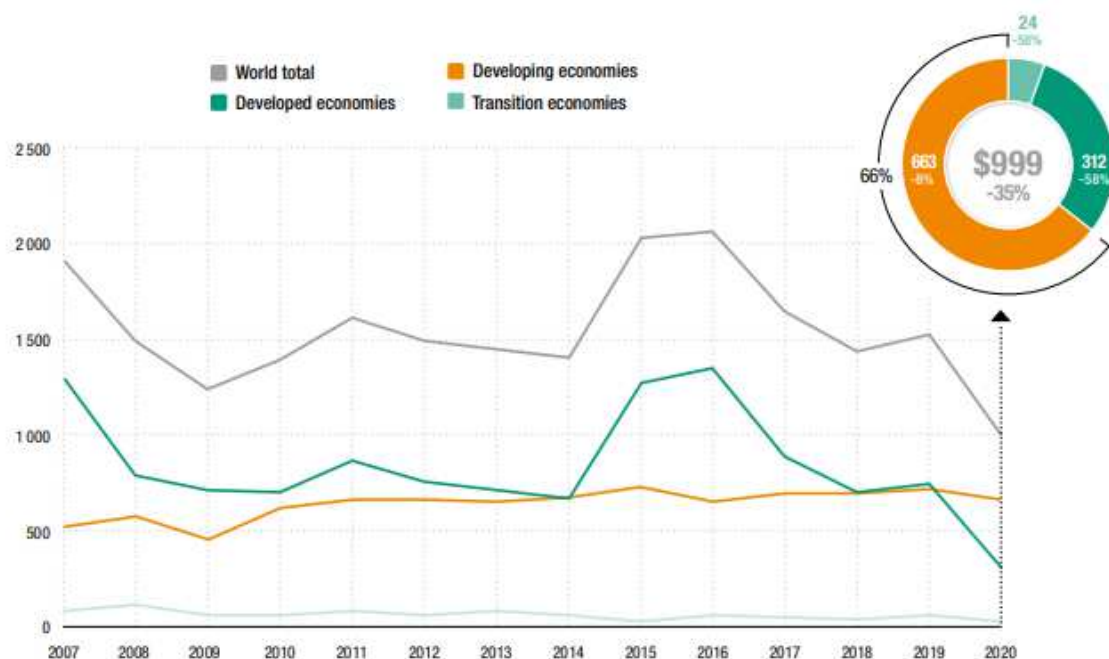


Figure 3.4a: Global FDI flow by group of economies (in Billions of US \$ and %), 2007–2020

Source: UNCTAD, 2021

According to UNCTAD (2008), global FDI flows increased at rates much beyond global economic growth or trade from 2000 to 2008. From figure 3.4a, overall FDI flow maintained an impressive form in the early 2000s, which later peaked at \$1.9 trillion in 2007, FDI flows began to drop in 2008 (-16 percent). Due to the global economic crisis, multinationals had to rethink their investment plans due to the recession in major nations and the stock-market crash,

which resulted in tighter lending conditions, a decrease in asset value, and a drop in corporate profit in 2009 (-37 percent).

The flow of FDI into rich countries fell by 40% in 2009, whereas the flow into emerging countries fell by 22%, indicating that developing countries were more resilient to the economic crisis. According to UNCTAD (2011), from 2010, the falling profitability of businesses resulted in decreased reinvested earnings and intra-company loans, which had a negative impact on FDI flows to developed nations and thus triggered exodus flows to the developing and transition economies. The movement of global FDI flow towards developing and transition economies accelerated from 2011 onwards. Also, due to political and economic changes undertaken by these nations to attract foreign capital, these economies have recorded tremendous FDI flows. From 2012 to 2020, the global FDI flow has been marked by unpredictability.

A close look at figure 3.4a further revealed that Global FDI flows plummeted by 35% in 2020, to \$1 trillion, down from \$1.5 trillion in 2019. This seems to be the lowest level since 2005, and about 20% lower than the global financial crisis slump in 2009. Global lockdowns stalled existing investment projects in reaction to the COVID-19 pandemic, and the risk of a recession prompted multinational companies (MNEs) to reconsider future initiatives. Also, global FDI flow plunged by 58% in both industrialized and developing economies. It fell by a more moderate 8% in developing nations, owing primarily to strong flows in Asia up to 4%. As a result, emerging economies received two-thirds of global FDI in 2019, up from slightly under half in 2019 (UNCTAD, 2021).

Furthermore, according to a report from the global investment monitor (2022), global FDI flows, on the other hand, showed a strong rebound in 2021, rising by about 77 percent to an estimated \$1.65 trillion from \$929 billion in 2020, outpacing pre-covid19 thresholds. Developed economies saw the most growth, with FDI reaching an estimated \$777 billion in 2021, which is higher than that of 2020, while developing economies saw only a modest recovery.

Similarly, according to OECD (2022), A considerable growth in OECD earnings on FDI, which peaked in 2021, was the driving cause behind the increase in FDI flows in 2021. Fewer earnings were returned to parent businesses, resulting in higher reinvestment levels, which aided the recovery. In addition, OECD FDI equity inflows jumped by 25%, surpassing pre-pandemic levels by 4% and reversing the downward trend before 2016. (Figure 3.4b)

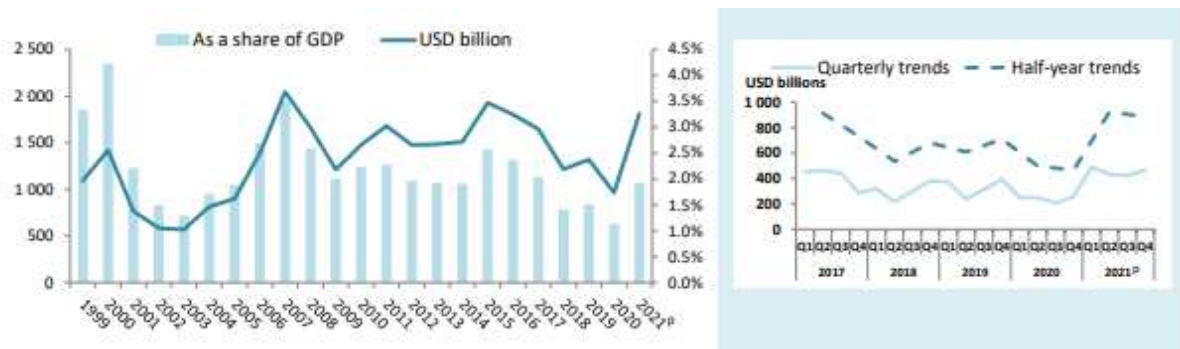


Figure 3.4b: Global FDI flows, (In USD Billion & %), 1999-2021

Source: OECD, 2022

Figure 3.4b depicts the global FDI flows from 1999- 2021 and trends for quarter and half year values from 2017-2021. A glance at half-year figures shows that global FDI flows increased by 98 percent in the first half of 2021, before falling by 4 percent in the second half. A closer examination of quarterly data presented reveals that the FDI upswing was mostly focused in the first quarter of 2021 when they increased by 90% over the previous quarter before declining by 12% in Q2 2021 and maintaining nearly steady for the rest of the year. (OECD, 2022).

3.4.1 Global FDI Inflows and Stocks

Global FDI inflow to developed economies decreased by 58% to \$312 billion due to variations in upstream and intrafirm capital inflows and company adjustments. Also, the value of net intra- and inter merger and acquisitions sales in developed nations fell by 11% to \$379 billion between 2020-2021, which is the major FDI category in those economies. Furthermore, Greenfield investments and intra- and inter-project finance arrangements both saw a 16 percent and 28 percent drop in value, correspondingly as depicted in figure 3.4.1a.(UNCTAD, 2021).

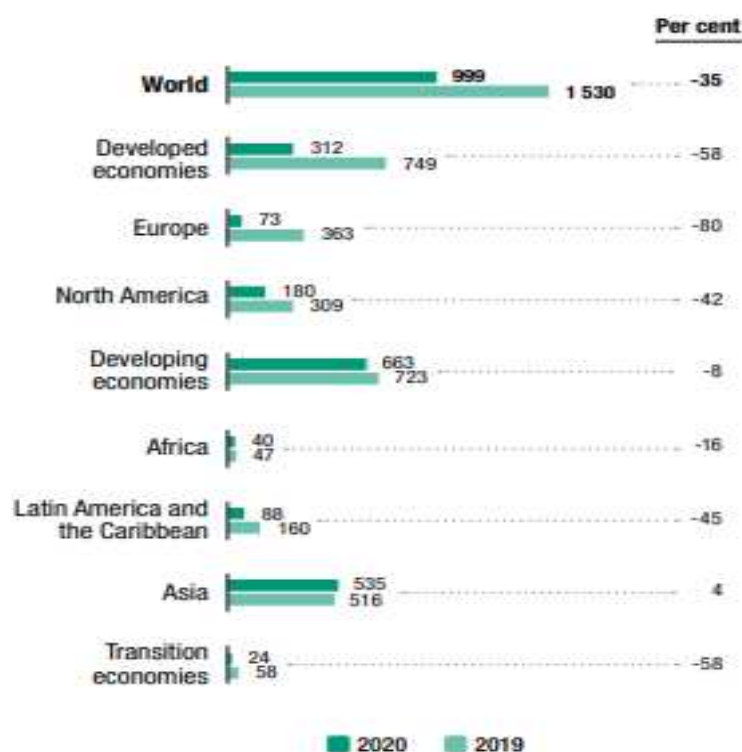


Figure 3.4.1a: Global FDI Inflow And Stock By Region, 2019-2020

Source: UNCTAD, 2021

Surprisingly, from figure 3.4.1a, FDI Inflow into Europe as a whole fell by 80%, reaching only \$73 billion. Countries like the Netherlands, Switzerland, United Kingdom, and Germany with major conduit flow remained in the negative zone. It is also imperative to note that Flows to the United States fell by 40% to \$156 billion, owing primarily to a decline in reinvested earnings. Despite this, the country remained the top beneficiary of FDI. North America and developing economies recorded a decline of 42% and 8%, respectively while Developing Asia, which already receives the most FDI accounting for more than half of global FDI saw a 4% increase to \$535 billion.

Similarly, The fall in export demand induced by the epidemic and a large decline in commodity prices early in 2020 increased pressure on the investment prospects of Latin America and the Caribbean, Africa, and transition economies. Latin America and the Caribbean saw the biggest loss in FDI, falling 45 percent to \$88 billion, the highest drop among emerging areas. From the figure presented, FDI flows to Africa also decreased by 16 percent to \$40 billion, a level is last seen over a decade ago while Flows to transition economies fell by 58 percent to \$24 billion in 2020 (UNCTAD, 2021).

Furthermore, assessing global FDI inflow by selected group, Figure 3.4.1b shows that FDI inflows to the OECD area surged by 75% to USD 809 billion, representing a 5% rise over pre-pandemic levels. In 2021, OECD FDI inflows accounted for 45 percent of worldwide FDI inflows, a little lower average than in 2018-2019. (51 percent).

Rebounds in global In 2020, MNEs from developed economies reduced their investment abroad by 56 percent, to \$347 billion. As a result, their share in global outward FDI dropped to a record low of 47 percent. As with global FDI inflows and stocks, the decline in investment by major investor economies was induced by strong volatility in conduit flows. FDI flows in the United States accounted for the majority of the increase over 2020. (USD 382 billion). FDI flows into the EU27 countries as a whole, on the other hand, fell by 30%, owing to falls in Ireland, Germany, and Luxembourg, compared to peak levels in 2020. In the Netherlands, disinvestments were also recorded for the third year in a row (OECD, 2022).

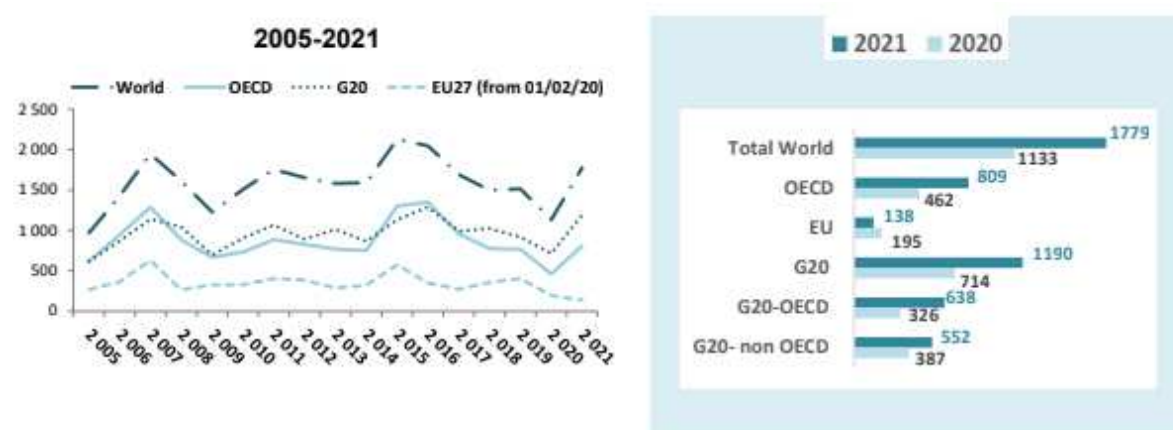


Figure 3.4.1b: Global FDI Inflows To Selected Areas (in USD Billion), 2005-2021

Source: OECD, 2022

Global FDI Inflows into G20 economies surged by 67 percent. In OECD G20 economies, they increased by 96 percent, whereas in non-OECD G20 economies, they increased by 43 percent. FDI flows in non-OECD nations increased by 47% compared to pre-pandemic levels, owing mostly to growth in developing economies such as Brazil, Russia, and South Africa. Suffice it to say that in 2021, the United States was the leading FDI inflow destination in the world, with USD 382 billion in FDI inflows. China, Canada, and Brazil came in second, third, and fourth, respectively, as the next greatest benefactors (OECD, 2022).

3.4.2 Global FDI Outflows and Stocks

Global FDI outflows and stocks from the OECD region almost trebled USD 1 303 billion in 2021, up 74 percent from pre-pandemic levels, which is seen as the highest level since 2015 as depicted in figure 3.4.2. It is evident that in 2021, global FDI outflows from the OECD area amounted to a bigger share of worldwide FDI outflows (70 percent) than in previous years 61 percent in 2020 and 66 percent in 2019 respectively. Significant outflows from the United States, resulting from record high reinvested earnings in their international affiliates, account for a large portion of this growth. Germany and Canada were two other countries that contributed considerably to the enormous increase in outflows from the OECD group (OECD, 2022).

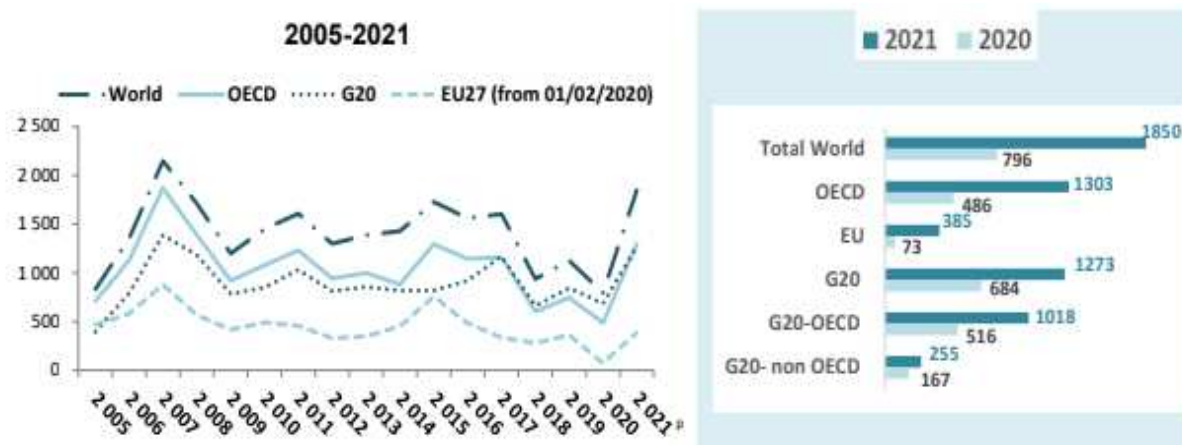


Figure 3.4.2: Global FDI Outflows from Selected Areas (in USD Billion), 2005-2021

Source: OECD, 2022

A critical view of the G20 in figure 3.4.2 shows that Outflows of FDI from the G20 economies surged by 86%. Outflows from OECD G20 economies nearly doubled in 2021 compared to 2020, while non-OECD G20 economies had their outflows nearly quadruple, exceeding pre-pandemic levels by 20%. While global FDI Outflows from the EU27 expanded significantly, owing to increases in prior substantial negative outflows from Ireland, the Netherlands, and other EU members. As a result of equity divestitures, such as sales of equity shares in resident companies by immigrant parents, and changes in intra-company debt, outbound FDI flows from Luxembourg reduced, while FDI outflows from France and Spain fell to negative levels (OECD, 2022).

3.5 Overview of FDI Flow into the Nigerian Economy

the importance of FDI cannot be overstated. Its tremendous impact on developing new technology, products, managerial skills, and a competitive corporate climate has fueled economic progress over time. Many countries around the world, particularly Nigeria favor policies that encourage the inflow of FDI because of the positive spillover associated with the provision of funds and expertise that could assist smaller companies in expanding and increasing international sales and technology transfer, resulting in the formation of new varieties of capital input.

According to a report from UNCTAD (2018), Nigeria is one of the economies with high demand for products and services and has received a large amount of FDI since discovering crude oil. China, the United States, the United Kingdom, France, and the Netherlands are among the countries that have invested in the country into the oil and gas sector, telecommunication, solid minerals mining, and manufacturing sectors. FDI inflows to the country were historically spectacular, both in absolute and relative terms, during the 1980s and 1990s. However, Figure 3.5 depicts FDI inflow into the Nigerian economy and selected countries covering 2000 to 2020.

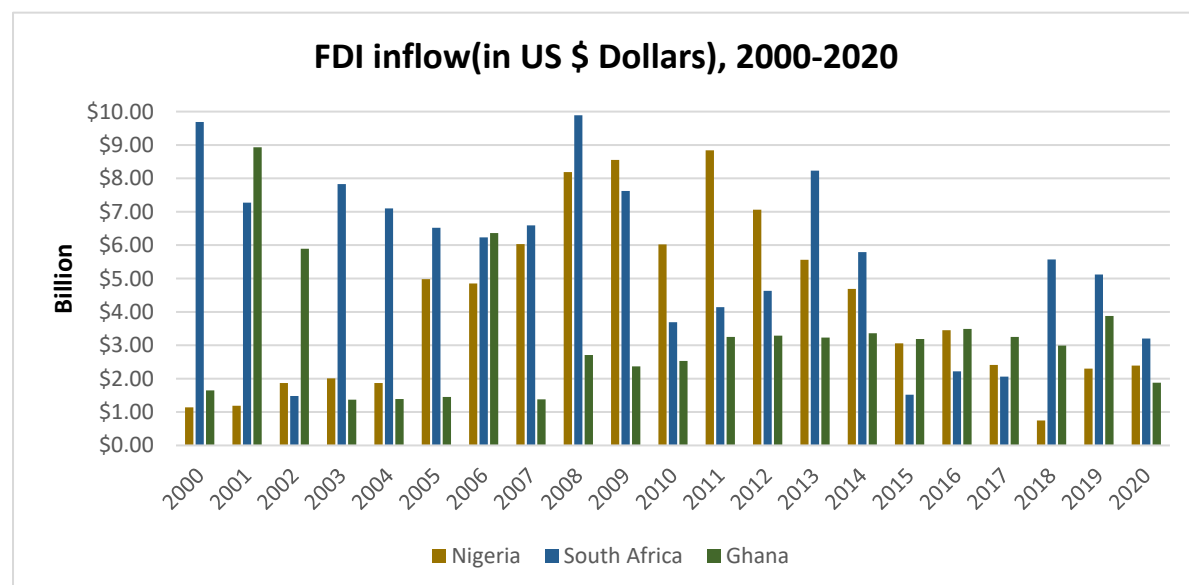


Figure 3.5: FDI Inflow Into The Nigerian Economy And Selected Countries 2000-2020

Source: Author's Elaboration Based on Data from World Bank, 2020

From figure 3.5, FDI inflow into the Nigerian economy remained relatively stable, ranging from \$1.14 billion in 2000 and \$1.87 billion in 2002 with moderate growth of \$4.98 billion in 2005. The country maintained a favorable inflow from \$6.03 billion in 2006 to \$8.55 billion in

2009. The impressive flow of FDI into the country in the early 2000s could be attributed to several factors ranging from the country's transition from military to civilian government in 1999 which piqued investors' interest, particularly foreign investors, in resolving social, ecological, and economic issues that arose during the military's rule. Between 2000 and 2009, Nigeria received a substantial amount of foreign direct investment due to these factors. FDI, for example, increased from \$1.14 billion in 2000 to \$8.55 billion in 2009.

In addition, the civilian administration in Nigeria also developed the legal system and other institutions necessary for the proper operation of the market economy and the adoption of economic policies such as privatization of important sectors of the economy that were beneficial to investors.

However, in recent years, economic uncertainty has posed one of the most significant obstacles to drawing essential foreign direct investment into Nigeria, particularly due to issues with the currency rate control system. Between 2009 and 2010, foreign direct investment into Nigeria fell by \$2.53 billion, from \$8.55 billion in 2009 to \$6.02 billion in 2010. In light of this, the CBN (2010) stated that the poor state of infrastructure facilities, high levels of corruption, a poor business environment, and weak institutional and property rights protection were linked to a large reduction in FDI entry into the country throughout the time. This has hurt foreign investors' willingness to invest in the country.

In support of these findings, Zhang (2001) claims that the amount to which FDI influences economic growth is determined by the recipient country's economic and social conditions and the quality of its environment. a further review of the data shows that the country recorded a sharp increase in the amount of FDI that flew into the country to the tune of \$8.84 billion in 2011. However, the flow started to decline drastically from \$5.56 billion in 2015 to \$0.75 billion in 2018. The reduction in the amount of FDI during the periods could be attributed to factors ranging from the sale of petroleum assets by global oil firms in 2013 to problems of insecurity that have ravaged the country, especially in the northern and Niger-delta areas of the country. The Boko-haram sect's actions and that of bandits in the oil-rich regions have negatively affected economic activities in the country, as these remain some of the factors posing a severe threat to international investors, as some of the workers of most foreign-owned businesses are frequently kidnapped, and ransoms sought.

Statistically, FDI inflow in the country surged slightly upwards from \$2.30 billion in 2019 to \$2.38 billion in 2020, Although the flow has remained low compared to South Africa. The data

presented confirm the evidence of low FDI inflow in the Nigerian economy. Hence, this claim is supported by the works of Alabi (2019), who used multiple regression models to investigate the influence of FDI on Nigerian economic growth from 1986 to 2007. According to the findings, FDI has the potential to positively impact the economy, even though its contribution to GDP was relatively modest during the time under consideration.

It is crystal clear that the fall in the amount of FDI inflow into the Nigerian economy, especially from late 2015 to 2020, could result from the schism between Nigeria's government and the MTN telecommunications company's administration. According to UNCTAD (2018), the main cause of the drop is the Federal Government's penalties on telecoms firm MTN Nigeria for failing to deactivate 5.2 million unregistered SIM cards from its subscriber base. It should be remembered that when the Federal Government imposed a \$5.2 billion fine on the corporation in 2015, the fine was reduced to N330 billion after a series of discussions. The final payment of the fine was made in May 2020. There is no doubt that the Federal Government's sanction on MTN resulted in a massive outflow of investors from the country. These investors appear to have lost faith in the country's ability to protect their assets and businesses. As a result, they relocated their operations. In addition, in 2018, corporations such as HSBC and UBS shuttered their representative offices in Nigeria, adding a drop in FDI to a meagre \$2.38billion by 2020 (UNCTAD, 2021).

Another important factor is the outbreak of covid 19, which paralyzed economic activities across the globe, and the measures adopted by the country to curtail its spread, such as lock-down and restriction of movements. Another observable factor is the implementation of Islamic policies by some states that prevent producing and selling certain products, such as alcoholic beverages, in the northern part of the country. This has hindered potential investors from investing in the country. The implication of the staggering flow of the FDI into the country is that foreign exchange liquidity will be negatively affected. Thus, it reduces export earnings, thereby creating inflationary pressure in the economy, which will continue to discourage investors. Hence, it becomes imperative for the government of Nigeria to create a favorable business environment capable of attracting FDI.

A closer look at the chart presented revealed that South Africa has maintained a substantial level in FDI flows amongst the countries reviewed. The FDI flow into the country fluctuated between \$1.48billion in 2002 and \$9.88billion in 2008 which seems to be the highest so far for the number of years examined. However, the country recorded a sharp drop from

\$7.62billion in 2009 to \$4.63 in 2012 against the flows to Nigeria from \$8.55billion in 2009 to \$7.02billion in 2012. It is also imperative to note that country has the highest FDI flow than Nigeria and Ghana within the periods of the examinations. Although FDI flow into the country fell by 39% to \$3.20billion in 2020 from \$5.12billion in 2019, a situation that is unlikely to improve following the damage caused by recent social unrest, revealing another flaw in President Cyril Ramaphosa's grand plan to resuscitate the ailing economy (UNCTAD, 2021).

However, due to increased political and policy instability and lackluster development, South Africa has failed to attract higher international investment in the last decade. President Ramaphosa was elected in 2018 on a platform of reviving investment through his Economic Reconstruction and Recovery Plan, which set a five-year investment goal of \$100 billion. The ambitious plan to improve the flow of FDI into the country has been scrapped due to Covid-19 and a slew of other long-running structural difficulties, including pervasive corruption, which has harmed investor confidence, and persistent political infighting (UNCTAD, 2018).

Furthermore, there are shreds of evidence from the chart that Ghana, a former British colony known as "the Gold Coast" from 1821 to 1957, received \$3.88 billion in FDI in 2019, the largest sum in West Africa. In West Africa, the country is a top destination for FDI inflows. Between 2011 and 2018, its yearly FDI inflows averaged \$3.22billion. Interestingly, Ghana received \$3 billion in FDI in 2018, which may have been impacted in part by capital flight from Nigeria, despite UNCTAD's assertion that it was mostly due to Eni Group's oil and gas operations in the country, though the figure dropped to \$1.88billion (UNCTAD, 2018).

Furthermore, since the first substantial deep-water oil and gas discoveries off Ghana's coast in 2007, the oil and gas industry has become one of the country's main engines of economic growth and a magnet for foreign investors. Oil and gas behemoths such as Tullow Oil of the United Kingdom, Kosmos Energy of the United States, and Eni of Italy are companies taking advantage of the discoveries. However, Ghana has been plagued by economic and political issues in recent years, jeopardizing its status as a favourite of international investors in West Africa. Major oil and gas companies have begun to abandon projects in the country, primarily because they have adopted new environmental, social, and governance agendas in response to the developed world's net-zero goals, and they are concerned that future investments in oil and gas projects may no longer yield the expected returns (UNCTAD, 2021).

3.6 Trends of FDI Inflow and Economic Growth in Nigeria and Selected Countries

The relationship between economic growth and FDI is usually conditional on the country it passes. The extent to which FDI contributes to change is said to be dependent on the recipient country's economic and social conditions, or in other words, the quality of its environment (Zhang, 2001). Figure 3 illustrates the trend of FDI inflows as a percentage (%) of GDP, a proxy for economic growth that shows its contribution to the Nigerian economy and economies of other selected countries for the periods 2000-2020.

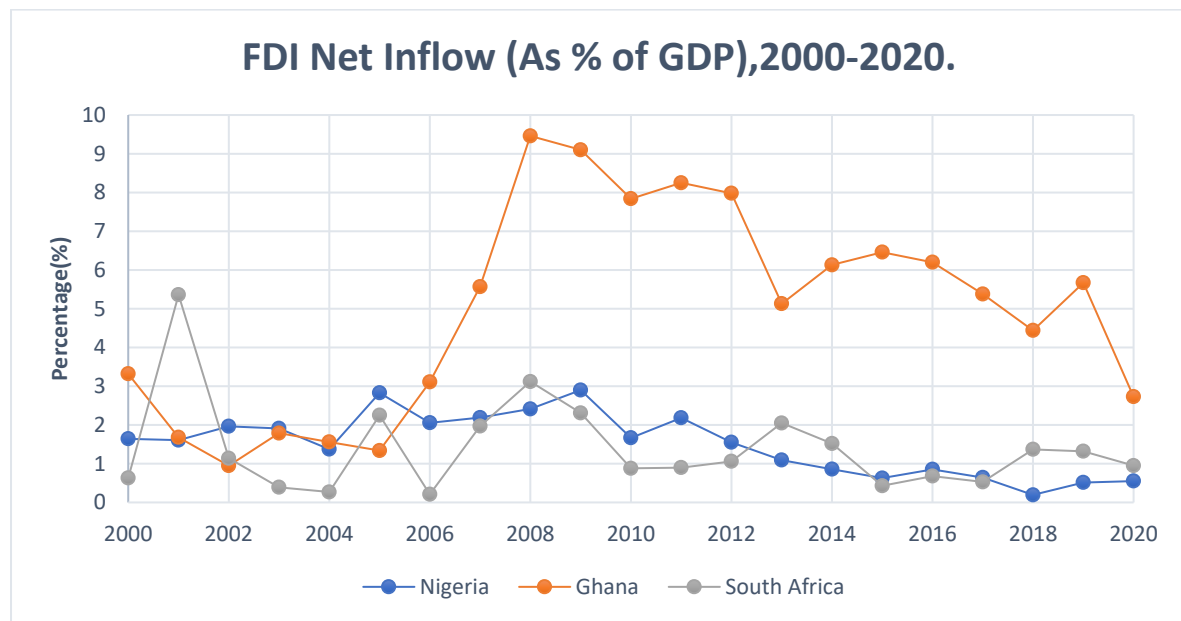


Figure 3.6: Trend of FDI net inflow (in % of GDP) in Nigeria And Selected Countries, 2000-2020

Source: Author's Elaboration Based on World Bank, 2020

From figure 3.6 presented, FDI net inflow in the percentage of GDP shows that its contribution to GDP is meager and stood at 1.64% in 2000 and remained almost the same between 2001 and 2003. However, the country made a remarkable record of 2.82% and 2.90% respectively in 2005 and 2009. The rates continue to fluctuate to 2.18% in 2011. As a result, from 2011 to 2017, the rates are nothing to contend with. To the greatest dismay, from 2017 to 2021, FDI, net inflow as % of GDP in Nigeria has not surpassed 2.0% as it is observed in 2018, 2019, and 2020, the country made a record of 0.19%, 0.51%, and 0.55 respectively. (Worldbank, 2020).

The outcome of the data presented validates the works of Danja (2012) who utilized ordinary least square regression to suggest that FDI has a positive relationship with Gross Fixed Capital Formation and the index of industrial production but has not contributed much to the growth and development of the Nigerian economy. In light of the previous, many Nigerian

policymakers and government officials have been left guessing the possible causes of the country's poor FDI inflow contribution to economic growth.

In a similar vein, Asiedu (2005) claimed that the level of FDI attracted by Nigeria is mediocre when compared to the resource-based and potential need. However, Nigeria is the world's eighth-most populous nation and 32nd largest economy with the potential to outperform its counterpart South Africa as Africa's largest economy.

Suffice it to say that the data presented also provides more incentive to acknowledge the role of quality institutions in attracting FDI. Ejubekpokpo (2012) suggests that institutional quality is a crucial determinant of FDI inflows in the long run. The findings also show that the combined influence of institutions and trade openness has a long-term and short-term impact on attracting additional FDI inflows. The further paper advocates that were implementing the policy mix simultaneously, that is, lowering trade barriers and improving the quality of institutions, will undeniably attract more FDI into the country.

Abubakar (2020) also claims that the quality of institutions has a tremendous and considerable impact on economic growth. These studies show the importance of institutional factors in explaining the FDI-economic growth relationship.

Moreover, In response to the flow and contribution of FDI to the Nigerian economy, subsequent Nigerian administrations have become increasingly concerned about the threat and issues that the country has faced in recent years regarding the low FDI inflow. As a result, various policy reforms have been implemented to transform people's beliefs and value systems based on Nigerian economic and political philosophy to enhance the business environment. For example, in 2007, the government launched a policy change known as the "Seven Point Agenda" to address the issue of deteriorating infrastructure and insecurity of lives and property.

In 2011, a new administration was inaugurated, with President Goodluck Ebele Jonathan launching a complementary strategy known as the Transformation Agenda. The agenda focused on job creation, poverty alleviation, and citizen value reorientation, challenging various arms and institutions of the government, such as the national assembly, judiciary, electoral umpire, and armed forces, to stand on their feet and re-invent the wheel to protect property and human rights and create a conducive business environment to capitalize on the agenda's inherent benefits to promote the flow of FDI which will enhance economic growth (Emmanuel & Agande, 2012).

In view of FDI contribution to other selected countries, the chart shows that South Africa recorded an FDI inflow of 5.36% of GDP in 2001, which appears to be the highest for the study duration, and 0.21% in 2012 as the lowest. The contribution of FDI as % to GDP has been so low in some quarters compared to Nigeria and Ghana. The FDI flow as % of GDP dropped from 1.32% to 0.95% in 2019 and 2020 in Nigeria and Ghana, respectively (UNCTAD, 2021).

Surprisingly, the FDI inflow as % of GDP to Ghana has been impressive for the period covered. The country recorded the highest FDI inflow as % of GDP against Nigeria and South Africa. This is evident because of the country's improvements in attracting FDI. The chart further revealed that Ghana recorded the highest FDI inflow in 2008 with 9.46% and the lowest in 2002 with 0.95%. The contribution of FDI to GDP was fairly modest between 2009 to 2018 although the inflow fell from 5.67% in 2019 to 2.73% in 2020.

Also, economists and experts have argued that the fall of FDI contribution as % of GDP within 2019-2020 in Ghana could be attributed to the outbreak of covid19. Another obvious factor is the decision of Aker Energy, a Norwegian oil company, which announced in the first quarter of 2020 that it was deferring its final investment decision on the Pecan offshore development project in the Deepwater Tano Cape Three Points block indefinitely. Also, another Oil and Gas company Eni group, is battling a government decision issued in April 2020 that requires it to utilize its Sakofa field with Springfield Energy's Afina field in Ghana (UNCTAD, 2021).

3.6 Factors affecting the flow of FDI into Nigerian economy

Africa is sometimes seen as one of the remaining undeveloped investment frontiers globally. Africa is rich in natural resources, ranging from industrial and precious metals to massive crude oil and natural gas deposits. However, corruption, geopolitical instability, and violence have crippled FDI flow to some African countries (Ari, 2021). The following highlighted factors have been identified to influence the flow of FDI into the Nigerian economy:

- **Cost Of Labour:** Local labor expenses are crucial, particularly when engaged export-oriented investment, because a low cost of labour is expected to reduce the cost of production, thereby enhancing the profitability of the businesses. According to Offiong and Atsu (2014), The availability of low-cost jobs sometimes justifies the relocation of a component of the industrial process to another country. As a result, the investment firm is concerned about the quality of its staff. In general, highly educated people are thought to be better able to learn and embrace new technology faster, and their retention

costs are also lower. Because of the demand for high-quality work, investors are drawn to countries where the government maintains a permissive employment policy for experts. This permits investors to hire foreigners to fill skill gaps among local employees wherever they exist. There is no doubt that labor cost in Nigeria is low, especially for unskilled workers, who are mostly engaged in the informal sector. It is also evident that the minimum wage rate in Nigeria today is among the lowest (\$450 per month) when compared with other countries within the West African sub-region.

- **Natural Resource Availability:** The presence of natural resources is an important factor in attracting FDI. This is crystal clear, especially in Africa, where FDI is concentrated in countries with abundant natural resources. Natural resources abound with the large market size have proven to be an important factor in the attraction of FDI. However, because of the enormous crude oil deposits and other mineral resources, Nigeria has become an investment destination center, especially in the oil and gas sector.
- **Economic And Trade Openness:** The flow of FDI is aided by economic and commercial openness, as their importance cannot be over-emphasized. The more open an economy is, the more likely it is to attract investment and maintain a suitable trade and exchange-rate system. Today, Nigeria has an open economy and trades with other countries worldwide, which has helped increase FDI inflows. According to Kalu et al. (2016), trade openness is a significant factor of FDI; the more open an economy is, the greater the possibilities of FDI pouring into that country.
- **Insecurity:** Insecurity has become a significant threat to economic growth and development in Nigeria, as the country is currently facing security challenges from the Boko-haram sect, which has crippled economic activities in the country's northern parts. Thus, it is difficult for both local and foreign investors to site their investment in the region. According to Nwogwu et al.(2012), Nigeria's Niger Delta region, which is often regarded as one of the world's richest coastal areas, accounts for around 80% of the country's total wealth. Years of political and economic deprivation, environmental pollution, government instability, policy inconsistency, and the oil firms' divisive politics all contributed to the outbreak of militancy in the Niger delta in early 2006. Militant organizations have used kidnapping and hostage-taking as a prominent tactic, with foreign people working for oil firms as prime targets.
- **Poor Infrastructure:** Despite the abundance of crude oil and other natural resources in Nigeria, widespread income and opportunity inequality exist. Nigeria's oil wealth is

concentrated in the hands of a few governments, power brokers and affluent industrialists. As a result, the government has not made adequate infrastructure investments such as good road networks and railways. Furthermore, the country's electricity grid is considered poor, making industry operations challenging and thus affecting the flow of FDI into the country (Ari, 2021).

Drawing from the literature review, the findings suggest a clear relationship between FDI and economic growth. Some of the studies revealed that FDI impacts both negatively and positively on economic growth in Nigeria within the duration of the studies (See Egbo, 2010; Adeleke et al. 2014.; & John, 2016). Another group also argued a unidirectional causality relationship between FDI and Nigeria's economic growth (Ayadi, 2009; & Olumuyiwa, 2013).

In contrast, others opined that trade openness, improved market size, and the presence of Quality institutions like the developed financial system would attract more FDI into the country (Giwa et al, 2020). In addition, the data thus presented shows that the volume of FDI flowing into Nigeria and its contribution to economic growth has been so low within the periods of examination. This outcome provides more incentive to carry out more studies that will clearly understand the interplay between FDI and economic growth within the Nigerian economy and how more FDI inflow could be enhanced.

4 RESULTS AND DISCUSSION

This section analyses the data and presents and discusses the result of the analysis conducted in line with the methods specified under the methodology.

4.1 Country Profile

Nigeria is located in West Africa with about 206 million people as of 2020 and one of the world's largest young populations. The country is often argued to be Africa's most populated and the eighth-largest population worldwide. Nigeria shares boundaries with countries like Cameroon and Chad on the East and the Benin Republic on the West, with the Niger Republic and the Gulf of Guinea on the North and South, respectively. The country is multi-ethnic with major ethnic groups such as the Yoruba, Hausa, and Igbo, with a multicultural federation of 36 independent states and the Federal Capital Territory (Worldometer, 2021). Figure 4.1 presents the map of Nigeria and its conditions.

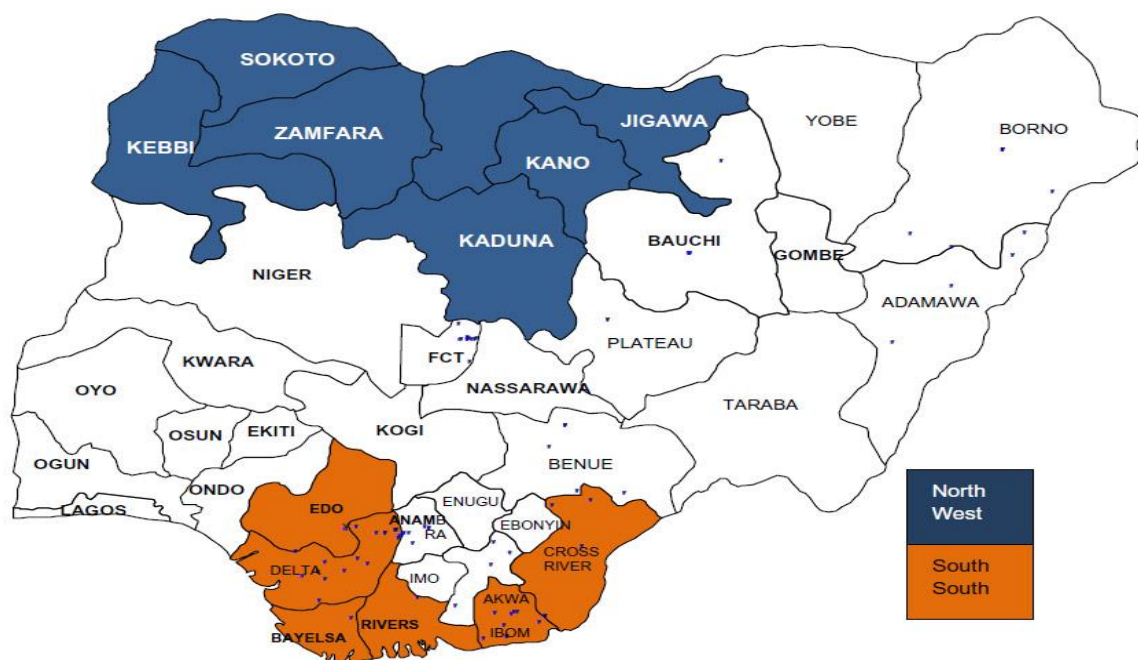


Figure 4.1: Map of Nigeria.

Source: Encyclopædia Britannica, 2021

Nigeria adopted a democratic system of government in 1999 after decades of a military regime. Presently, the dominant political party is the All Progressives Congress Party (APC) which controls a portion of the political landscape. The APC dominates the executive branch of

government, with a majority of seats in parliament's Senate and House of Representatives and 23 of 36 state governorships. The incumbent president, Muhammadu Buhari, won re-election to a second term in the 2019 presidential elections, with general elections set for February 2023 (Freedomhouse, 2021).

Nigeria's economy is one of the world's fastest-growing, and some analysts predict that it will continue to do so in the future. The country is one of Africa's top oil producers and exporters, and oil is the country's primary source of revenue. It is a known fact that while Nigeria has made considerable socio-economic progress in recent years, its Human Capital Index ranks it 150th out of 157 nations in terms of human capital development. The country continues to face significant developmental problems, including the need to reduce reliance on oil and diversify the economy, solve limited infrastructure, strengthen effective institutions, and address governance and public financial management issues. Inequality in terms of income and opportunities is still high, and it has hampered poverty reduction efforts in the country. Also, High inflation has hurt household welfare, and high prices are expected to push another 7 million Nigerians into poverty (World Bank, 2020).

The economic outlook in Nigeria remains highly uncertain, especially due to the outbreak of COVID-19 and measures implemented to curtail its spread. Moreover, the modest projected recovery plans could be threatened by volatility in the oil sector, including an unexpected shock to oil prices, and weaknesses in the financial sector. Even in the most favorable global context, the policy response of Nigeria's authorities will be crucial to laying the foundation for a robust recovery (UNCTAD, 2021).

4.2 Descriptive Statistic of data

The descriptive statistics of the data used for the analysis are presented in table 4.2. The data for this analysis was transformed into quarterly data to address the loss of degrees of freedom. This transformation was made using E-views software.

Table 4.2 Descriptive Statistics of data

	LNRGDP	LNLABOUR	LNFDI	LNCAPITAL	LNEXR	INTR
Mean	26.603	17.777	21.896	29.875	5.180	17.470
Median	26.712	17.792	21.915	29.877	5.033	16.892
Maximum	26.943	17.948	22.918	30.107	6.226	24.986
Minimum	25.899	17.542	20.468	29.561	4.609	10.980
Std. Dev.	0.3254	0.121	0.698	0.142	0.434	2.942
Skewness	-0.6727	-0.2547	-0.1967	-0.4096	0.852	0.593
Kurtosis	2.138	1.986	1.808	2.358	2.418	3.756
Jarque-Bera	9.358	4.714	5.771	3.969	11.890	7.268
Probability	0.009	0.094	0.055	0.137	0.002	0.026
Sum	2341.0	1564.2	1926.8	2629.0	455.1	1537.4
Sum Sq. Dev.	9.215	1.280	42.441	1.777	16.404	753.4
Observations	84	84	84	84	84	84

Source: Author's compilation from the result of descriptive statistics, 2022

Table 4.2 shows the descriptive statistics of the data used for this analysis. All the variables are in log form except interest rate, which is already in rate form. Looking at the mean value of this variables, it could be observed that log of capital has the highest mean value of about 29.8, followed by the log of real gross domestic product, log of foreign direct investment, log of labour, interest rate and log of the exchange rate with their mean values of 26.60, 21.90, 17.78, 17.47 and 5.18, respectively.

Similarly, the log of capital recorded the highest maximum value (30.10) followed by log of real gross domestic product (26.94), interest rate (24.98), log of foreign direct investment (22.91), log of labour (17.94), and log of the exchange rate (6.22). For the minimum values, log of exchange rate recorded the lowest minimum value (4.60) followed by log of interest rate (10.98), labour (17.54), log of foreign direct investment (20.46), log of real gross domestic product (25.89) and log of capital (2.68).

The standard deviation of the data measures the degree of spread of the data around its mean. In general, it could be observed that the data shows less degree of deviation from their mean. Therefore, they cluster around their respective mean value. Interestingly, most of the data show negative skewness (skewed to the left) exchange rate and interest rate that showed positive skewness (skewed to the right). The kurtosis of the data indicates that only the interest rate has its kurtosis greater than 3. Thus, it is said to be leptokurtic and has a distribution that asymptotically approaches zero more slowly than the Gaussian distribution. Other variables in the study have kurtosis less than 3. They are said to be platykurtic, and the distribution produces less outliers.

The Jarque-Bera and the probability of Jarque-Bera show that log of labour, log of foreign direct investment and log of capital have probability value greater than 0.05 and are said to be normally distributed. Other variables in the model such as log of real gross domestic product, log of exchange rate and interest rate were not normally distributed. It could be that they follow other forms of distribution such as the Gaussian distribution, Poisson distribution etc. However, the distribution of a data set explains the data generating process and does not affect the outcome of the analysis of this study. The study used 84 observations which is large enough to address the problem of loss of degrees of freedom.

4.3 Unit Root Test of the Variable

The data used in this study were subjected to a unit root test to ensure stationarity of the series. The unit root method adopted is the Augmented Dicky-Fuller (ADF) unit root test.

Table 4.3: Result Of Augmented Dicky-Fuller (ADF) Unit Root Test

Variables	Level Form		First Difference		Order of integration
	5% critical value	ADF test statistics	5% critical value	ADF test statistics	
RGDP	-3.464	-1.519	-3.464	-3.555	I(1)
FDI	-2.899	-2.967			I(0)
Capital	-2.597	-1.708	-2.897	-5.286	I(1)
Labour	-3.420	-3.422			I(0)
EXR	-2.898	3.718	-1.944	-1.953	I(1)
INTR	-1.944	-1.569	-2.963	-6.926	I(1)

Source: Author's Compilation from the result of ADF unit root test, 2022

Table 4.3 shows the result of the ADF unit root test conducted. It could be observed that the log of FDI and log of labour were stationary in level form and are said to be integrated of order zero, while other variables such as a log of RGDP, exchange rate, and interest rate became stationary after first difference and are said to be integrated of order one. Hence, the study has a mixture of I (0) and I (1) variables which invariably explains the use of the bound test approach to the cointegration test.

4.4 Correlation Test

The correlation test measures the extent to which a variable can successfully predict the outcome of another variable. This is one of the testing methods for the existence of multicollinearity in a given data set. A pairwise correlation test was adopted to test for

correlation between the variables. This test compares the correlation result of each pair of variables against the 0.8 threshold proposed by Gujarati and Sangeetha (2007). A correlation value of greater than 0.8 and less than 1 shows the presence of high but less than perfect multicollinearity.

Table 4.4: Result of Pair-wise Correlation Matrix

	LNRGDP	LNLABOUR	LNFDI	LNCAPITAL	LNEXR	INTR
LNRGDP	1.000	0.960	0.158	0.795	0.772	-0.784
LNLABOUR	0.960	1.000	0.016	0.770	0.886	-0.823
LNFDI	0.158	0.016	1.000	-0.012	-0.378	-0.216
LNCAPITAL	0.795	0.770	-0.012	1.000	0.641	-0.593
LNEXR	0.772	0.886	-0.378	0.641	1.000	-0.686
INTR	-0.784	-0.823	-0.216	-0.593	-0.686	1.000

Source: Author's compilation from the result of Pair-wise correlation test, 2022

Table 4.4 shows the result of the Pair-wise correlation test. It could be observed that the pair-wise of log of capital and log of the exchange rate with the RGDP per capita is high (in excess of 0.8) but less than 1. This means that although log of money and exchange rate explains to a large extent the outcome of the log of real gross domestic product, the regression coefficient produced using these data sets would not be indeterminate. This is because the correlations that exist among the variables are less than perfect (Gujarati & Sangeetha, 2007).

4.5 Cointegration Test

The study observed from the result of the unit root test that there is a mixture of $I(0)$ and $I(1)$ variables which indicates that the Pesaran Bound test approach to cointegration should be used to check the existence of the long run association among the variables in the model. There is expected a long-run association among the variables in the model to make informed policy recommendations. This result is presented in table 4.5.

Table 4.5: Result of bound test (cointegration of the variables)

Test Statistic	Value	K	Bound Test	
			Lower bound	upper bound
<i>F-statistic</i>	8.406676	5	2.62	3.79

Source: Author's compilation from the result of bound test cointegration of the variables, 2022

The null hypothesis associated with this test is that no long-run association exists among the variables and the decision is to reject the null hypothesis if the value of the F-statistic from the bound test conducted is greater than the upper bound value of the Pesaran test statistic.

Null hypothesis: No long run relationship exists.

It could be observed from table 4.5 that the value of F-statistic lies above the upper bound value of the Paseran test statistic. This shows that the null hypothesis that there is no long run association among the variables in the model is to be rejected. Therefore, even when the variables wander about in the short-run, there exists co-movement (association) among in the long run.

4.6 Result of the impact of FDI on economic growth in Nigeria

The impact of FDI on economic growth in Nigeria was addressed using the ARDL estimation technique. This is because the past value of the dependent variable (economic growth proxy by real gross domestic product per capita) tends to explain the present state of economic growth. The previous year's growth could spill over to the current year. The study estimated the short-run and the long-run effect of FDI using a single equation with the aid of cointegrating and long-run form contained in E-views 9. The result of this estimation is presented in table 4.6.1.

Table 4.6.1: Result of Short run Impact of FDI on Economic Growth

Cointegrating Form				
Variable	Coefficient	Std. Error	t-Statistic	Prob.
D(LNRGDP(-1))	0.471	0.092	5.087	0.000
D(LNLABOUR)	2.296	1.078	2.129	0.037
D(LNLABOUR(-1))	-12.188	5.424	-2.246	0.028
D(LNLABOUR(-2))	9.516	3.767	2.525	0.013
D(LNLABOUR(-3))	-3.176	1.072	-2.961	0.004
D(LNFDI)	-0.0012	0.0009	-1.814	0.074
D(LNCAPITAL)	0.0001	0.0030	0.220	0.826
D(LNEXR)	0.096	0.088	1.097	0.276
D(LNEXR(-1))	-0.704	0.248	-2.839	0.006
D(LNEXR(-2))	0.296	0.086	3.443	0.001
D(INTR)	0.002	0.004	0.551	0.583
D(INTR(-1))	0.017	0.012	1.368	0.175
D(INTR(-2))	-0.008	0.004	-1.812	0.074
CointEq(-1)	-0.031	0.005	-5.600	0.000

Source: Author's compilation of the result of short run ARDL estimation, 2022

Table 4.6.1 shows the ARDL estimation conducted on the short-run impact of FDI on economic growth in Nigeria. It could be observed that the previous values of economic growth proxy by the log of real gross domestic product exert a significant effect on the current value of economic growth. Also, among the explanatory variables included in the model, the log of labour and the log of FDI were statistically significant at 5 percent and 10 per cent, respectively.

The degree of adjustment of the short-run model towards long-run equilibrium was captured by the CointEq(-1). This was found to be negative and statistically significant at 5 percent. It shows that quarterly, about 3.14 per cent of the fluctuations in the system in the short run, adjust itself to long-run equilibrium. In other words, about 12.56 (3.14 *4) percent of the fluctuations in the short run get adjusted to long-run equilibrium annually.

Looking at the a priori expectation of the significant variables, it could be observed that log of labour followed the a priori sign (positive) for a labour-intensive country like Nigeria, while log of FDI was observed to be negative instead of its a priori sign of positive. Other variables such as a log of capital, interest rate, and the log of exchange rate were found to exert an insignificant effect on economic growth. This is somewhat surprising as one would expect interest and exchange rates to impact economic growth significantly.

However, based on the individual contribution of the variables in the model, the study found that holding other variables in the model constant, 1 percent increase in the labour force would lead to about 2.29 percent increase in economic growth. This is not surprising for a labour-intensive country like Nigeria expects an increase in labour force to increase output, holding other factors constant.

Also, when evaluated at 10 percent, the study found the log of FDI to statistically and negatively affect economic growth. It shows that holding other variables in the model constant, 1 percent increase in the net inflow of FDI would lead to about 0.001 percent decrease in economic growth. In this study, it was observed that FDI crowds out economic growth in the short run. The cointegrating equation is given as

$$\text{Cointeq} = \text{LNRGDP} - (3.7908 \text{ LNLABOUR} - 0.0571 \text{ LNFDI} + 0.0216 \text{ LNCAPITAL} - 0.6371 \text{ LNEXR} + 0.00319 \text{ INTR} - 37.1503) - \quad - \quad - \quad - \quad - \quad - \quad (2)$$

Equation (2) is the cointegrating equation of the ARDL cointegrating and long-run form. This equation ensures a long-run relationship among the variables included in the model.

Table 4.6.2: Result of Long-run Impact of FDI on Economic Growth

Long Run Coefficients				
Variable	Coefficient	Std. Error	t-Statistic	Prob.
LNLABOUR	3.790	0.335	11.290	0.0000
LNFDI	-0.057	0.031	-1.804	0.0758
LNCAPITAL	0.021	0.097	0.221	0.8252
LNEXR	-0.637	0.114	-5.582	0.0000
INTR	0.031	0.008	3.550	0.0007
C	-37.150	4.365	-8.510	0.0000
R-squared	0.999			
Adjusted R-Squared	0.999			
F-statistic	112406.3		Durbin-Watson stat	2.024511
			Prob (F-statistic)	0.000000

Source: Author's compilation of Long run ARDL estimation results, 2022

Table 4.6.2 shows the result of long run impact of FDI on economic growth. It could be observed that most of the variables were statistically significant in the model. The log of labour, log of exchange rate and interest rate were significant at 5 percent while log of FDI was significant at 10 percent. Looking at the a priori signs, log of foreign direct investment was observed to deviate from the correct a priori sign of positive sign.

Based on the ceteris paribus interpretation of the significant variables, the study found that holding other variables in the model constant, 1 percent increase in the number of working age would lead to about 3.79 percent increase in gross domestic product. This is not surprising because Nigeria is a labour-intensive country. Most of the country's productive activities are labour intensive. So, an increase in labour by 10 percent would lead to about 37.9 percent economic growth.

Surprisingly, the effect of FDI on economic growth, in the long run, was negative and statistically significant. The study found that holding other variables in the model constant, 1 percent increase in FDI inflow would lead to about 0.05 percent decrease in the gross domestic product in Nigeria. The implication is that foreign direct investment crowds out economic growth in the long run.

Also, the rate at which naira is exchanged for 1\$ US dollar was added as variable that affect our model. The study found that holding other variables in the model constant, a 1 percent increase in the rate at which naira is exchanged for 1 dollar would lead to a 0.63 percent decrease in economic growth. However, the interest rate, also known as the cost of borrowing for investment, was found to exert a positive and significant effect on real gross domestic

product. The study found that holding other variables in the model constant, a 1 percent increase in interest rate would lead to a 0.03 percent increase in economic growth. This is not surprising. More funds would flow to take advantage of the increase in interest rate, increasing transactions.

Lastly, the value of the R-squared of 0.99 shows that about 99 percent of the variations in economic growth is explained by the explanatory variables included in the model. The F-statistic value of 112406.3 and the probability (F-statistic) value of 0.0000 show that the overall model is significant. Also, the Durbin Watson statistic value of 2.024 indicates that the model is free from autocorrelation (positive or negative autocorrelation).

4.7 Post Estimation Diagnostic Test

4.7.1 Normality Test

The test is used to ensure that the variables in the model are jointly normally distributed. Even when the variable(s) seems not to follow normal distribution individually, their combination could produce normal distribution. The null hypothesis for this test is that the variables are jointly normally distributed. The study is to reject the null hypothesis if the probability value of Jacque Bera is less than 0.05. This happens when the Jacque Bera is less than 4. The outcome of this test is shown in Figure 4.7.1.

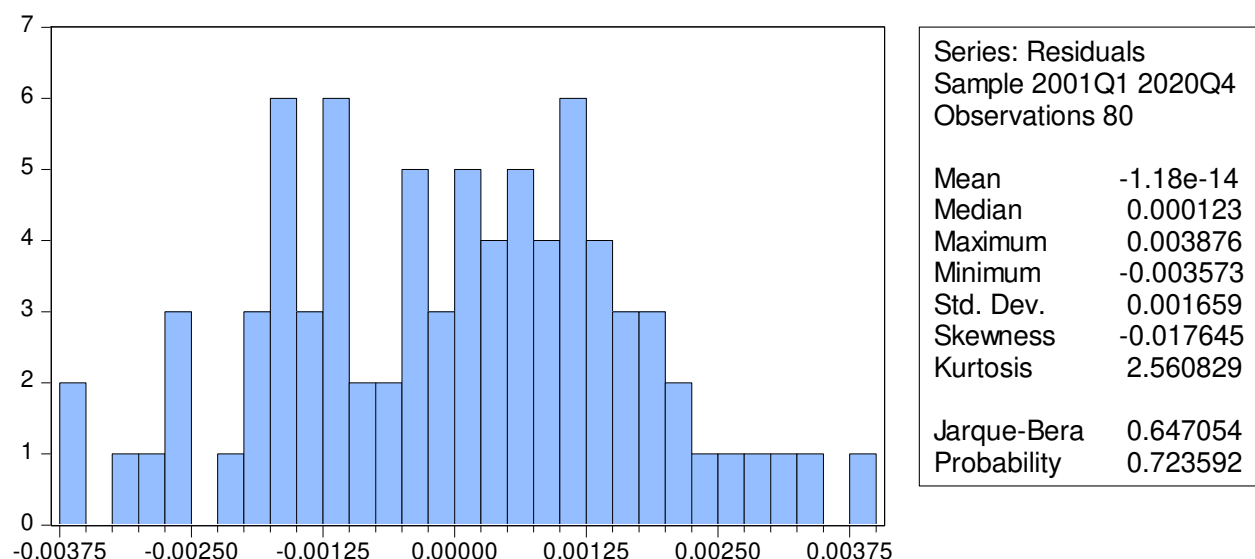


Figure 4.7.1: Normality Test Of The Variables

Source: Author's compilation from the result of normality test of the variables, 2022

Figure 4.7.1 shows the normality test of the variables in the model. It could be observed that the probability value of Jarque-Bera (0.723592) is greater than 0.05. This implies that the null hypothesis should not be rejected at 5 percent. Hence, the variables are jointly normally distributed.

4.7.2 Serial correlation LM test of the selected ARDL Model

The Breusch-Pagan Serial correlation LM test was used to conduct a serial correlation test. The null hypothesis of this test is that there is no serial correlation in the model's residual, and the decision rule is that the null hypothesis is rejected if the probability Chi-Square is less than 0.05 at the 5% level. Table 4.7.2 shows the result of this test.

Table 4.7.2: Result of Breusch-Godfrey Serial Correlation LM Test

<i>F-statistic</i>	0.188903	<i>Prob. (2,64)</i>	0.8283
<i>Obs*R-squared</i>	0.492960	<i>Prob. Chi-Square(2)</i>	0.7815

Source: Author's compilation for Breusch-Godfrey Serial Correlation LM Test, 2022

From table 4.7.2, it can be seen that the probability Chi-Square (0.8283) is greater than 0.05 at 5% significant level. As a result, the study is unable to reject the null hypothesis that there is no serial correlation in the short-run model's residual and conclude that the residual in the short-run of ADRL model is not serially correlated.

4.7.3 Heteroscedasticity test

The Heteroscedasticity test was carried out using the Breusch-Pagan LM test. See table 4.7.3. Heteroscedasticity test follows the F-distribution with the degree of freedom given as F (16, 67). The null hypothesis is that the error term is homoscedastic and we are to reject the null hypothesis if the probability of the Obs*R-square is less than 0.05. Otherwise, we do not the null hypothesis.

Table 4.7.3: Breusch-Pagan-Godfrey Heteroscedasticity Test

<i>F-statistic</i>	1.732054	<i>Prob. F(20,121)</i>	0.0615
<i>Obs*R-squared</i>	24.57829	<i>Prob. Chi-Square(20)</i>	0.0776
<i>Scaled explained SS</i>	12.73487	<i>Prob. Chi-Square(20)</i>	0.6920

Source: Author's compilation for Heteroscedasticity Test, 2022

The result of table 4.7.3 shows that the probability of the Obs*R-square (0.0776) is greater than 0.05. The null hypothesis of homoscedasticity or constant variance of the residual is not rejected.

4.7.4 Stability Diagnostic Test

The stability of the short-run model was tested using CUSUM test while that of the long run was tested using CUSUM of square test. The idea behind these tests is to reject the hypothesis of model stability if the blue line lies outside the dotted red lines otherwise, the model is said to be stable. The result of this test is presented in figures 4.7.4 and 4.7.5 respectively.

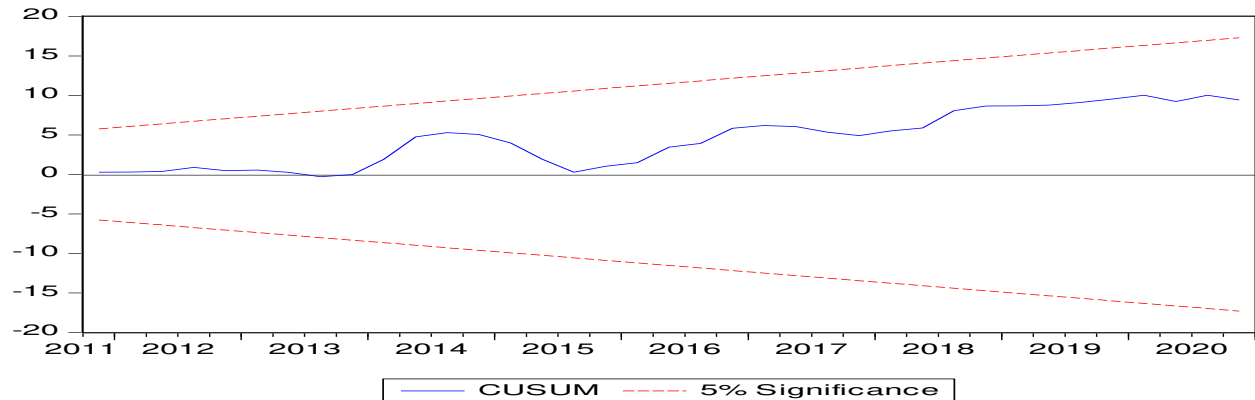


Figure 4.7.4: CUSUM test for Short run stability

Source: Author's compilation for Stability test of Estimated Model, 2022

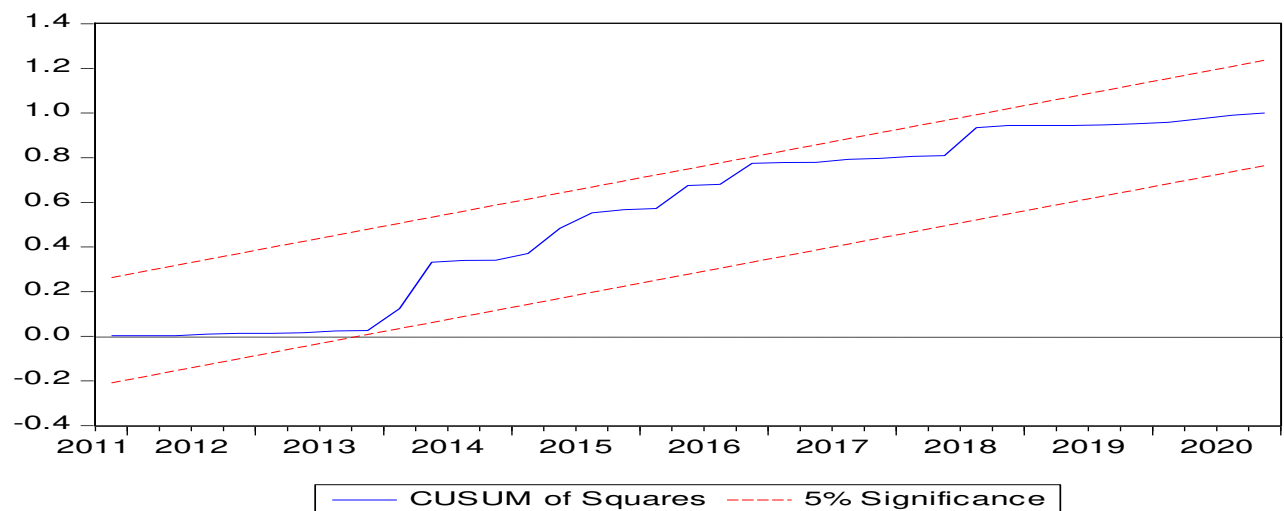


Figure 4.7.5: CUSUM of squares test for Long run stability

Source: Author's compilation for Stability test of Estimated Model, 2022

The CUSUM and CUSUM square test shows that the blue lines lie inside the dotted red line, which indicates that the model is dynamically stable.

4.7.5 Ramsey Reset Test for Model Specification Test

The Ramsey Reset test is a model specification test. The null hypothesis for this test is that the model estimated was correctly specified. This is to be rejected if the probability value of both

the t-statistic and F-statistic is less than 0.05; otherwise, the null hypothesis should not be rejected at the 5 percent level. Table 4.7.5 presents the result of Ramsey reset test.

Table 4.7.5: Result of Ramsey Reset Test

	Value	df	Probability
t-statistic	0.286194	65	0.7756
F-statistic	0.081907	(1, 65)	0.7756
F-test summary:			
	Sum of Sq.	df	Mean Squares
Test SSR	3.15E-07	1	3.15E-07
Restricted SSR	0.000250	66	3.79E-06
Unrestricted SSR	0.000250	65	3.84E-06

Source: Author's compilation for Ramsey Reset Test

Table 4.7.5 shows the result of Ramsey reset test. It could be observed that the probability value of t-statistic (0.7756) and the probability value of F-statistic (0.7756) are both greater than 0.05. This the null hypothesis that the model was correctly specified cannot be rejected at 5 percent.

4.8 Evaluation of Research Hypotheses

Hypothesis 1 (H_0): foreign direct investment has no positive significant impact on economic growth in Nigeria.

Decision Rule: Reject the null hypothesis if the probability value of the effect of FDI has no significant positive impact on economic growth. Otherwise, the null hypothesis is not to be rejected at 5 and (or) 10 percent level of significance.

Conclusion: The result presented in tables 4.6.1 and 4.6.2 show probability value of the effect of FDI has no significant impact on economic growth is less than 0.10 for the short run (table 4.6.1) and for the long run (table 4.6.2). This implies that the null hypothesis will be rejected for both the short and long run. Rejection of the null hypothesis further shows that FDI inflow has a significant effect on growth in Nigeria. The following are the study's principal findings:

- FDI crowds out economic growth in the short run and long run in Nigeria.
- Labour supply supports economic growth
- Capital does not significantly affect economic growth in both the short run and long run.
- The exchange rate exerts a positive and significant effect on economic growth in the long run.

- Interest rate exerts a positive and significant effect on economic growth in both short and long run.

4.9 Discussion of Findings

Developing countries have long relied on FDI inflow for economic growth and development. However, this study evaluated the impact of FDI on economic growth in Nigeria. The findings of the study on the effect of FDI were rather contradictory. It was discovered that FDI crowds out economic growth in both the long and short run. This means that the inflow of foreign investment in Nigeria is not fully utilized to positively change the economy. This could be attributed to the institutional framework available and the level of corruption in the area.

Interestingly, this finding contradicts the assertion of Aremu (2005), who claimed that FDI is a catalyst for economic development. Also, the relationship between FDI and economic growth in this study was negative, which contradicts the finding of Emmanuel (2016) who discovered that FDI has a positive relationship with economic growth. However, similar to the finding of this study is the study by Lyroudi et al. (2004), who discovered that FDI does not exhibit any significant relationship with economic growth for the transition countries.

Labour supply in Nigeria was observed to positively and significantly affect economic growth. This is not surprising, especially in countries that are labour intensive. An increase in labour supply, especially quality labour, would increase economic growth. So, labour supply was observed to support economic growth in both the long run and short run. These findings is in tandem with the Solow growth theory. In Young (2018), labour force dynamics supported economic growth in the long run. With labour as an essential factor determining growth in Nigeria, the quality and quantity of labour is paramount for economic growth.

The exchange rate, which measures the rate at which naira is exchanged for 1 dollar, exerts a positive and statistically significant effect in the long run. This is because short run exchange rate fluctuations do not significantly affect economic growth. This is somewhat related to Kogid et al. (2012), who observed a significant positive effect between nominal and real exchange rate and economic growth.

Similarly, interest rate, which measures the cost of borrowing for investment, exerts a positive and statistically significant effect on economic growth in the long and short run. An increase in interest rate would lead to funding inflow to take advantage of the rise in interest rate. This inflow of money into Nigeria leads to an increase in economic activities. This idea was contrary

to Muhammad and Sahibzada (2017) finding on the impact of interest rate on economic development, which shows that interest rate exerts a negative effect on economic growth.

4.9.1 Summary of Findings

The study investigates the FDI on Nigeria's economy. To achieve the broad objective, the study marshaled out three sub-objectives: to assess the empirical relationship existing between FDI and economic growth in Nigeria in recent years; to explore the contribution of FDI to the Nigerian economy; to examine factors affecting the FDI inflow in the Nigerian economy and proffer relevant policy recommendations that will attract FDI into the Nigerian economy. The study addressed objectives one and three using the ARDL model. Also, to address the second, the study adopted a descriptive (graphical) method. The ARDL model was used because the past value of the dependent variable (a proxy for economic growth) can affect the present value due to the spill-over effect. The study was subjected to various tests (pre-test and post-test) to ensure robust results. The study found the existence of cointegration among the variables in the model as indicated by the result of bound test cointegration.

Evaluation of the result of objective one reveals that there exists an inverse relationship between foreign direct investment and economic growth. In that, FDI crowds out economic growth in the short run and long run in Nigeria; while factors affecting FDI inflow such as labour supply supports economic growth, capital does not exert a significant effect on economic growth in both the short run and long run, exchange rate exerts a positive and significant effect on economic growth in the long run and interest rate exerts a positive and significant effect on economic growth in both the short run and long run.

5 CONCLUSION AND RECOMMENDATIONS

5.1 Conclusion

This study investigated the impact of FDI on Nigeria's economy. The study marshaled out four objectives; to assess the empirical relationship existing between FDI and economic growth in Nigeria in recent years; to explore the contribution of FDI to the Nigerian economy; to examine factors affecting the FDI inflow in the Nigerian economy, and to proffer relevant policy recommendations that will attract FDI into the Nigerian economy. The first and second objectives were addressed using the ARDL model while the third objective was addressed using graphs. The study used quarterly time-series data from the periods 2000Q1 to 2020Q4.

To test for the stationarity of the data, the study adopted the ADF unit root test. The data set shows a mixture of order zero and order one, which informs using the bound test approach to cointegration. The cointegration conducted shows a long-run association among the variables in the models.

The analysis showed that foreign direct investment crowds out economic growth in the short run and long run in Nigeria. Labour supply supports economic growth; capital does not exert a significant effect on economic growth both in the short and long run but the exchange rate exerts a positive and significant effect on economic growth in the long run. However, in both the short and long run, the interest rate has a positive and considerable impact on economic growth.

5.2 Policy Recommendation

The study recommends that;

- Institutions should be strengthened to ensure that FDI inflow supports economic growth in Nigeria.
- Nigeria should channel FDI towards the sectors it has comparative cost in production.
- In order to compete with foreign investment, the Nigerian government must formulate investment laws that are beneficial to local investors.
- Favourable exchange rate policies should be created and enforced to support exchange rate– export growth in the Nigerian economy.

- The government cannot produce all of the jobs needed in the country for the unemployed, but it can create an enabling climate that will attract investment from both Nigerians and foreign businesses. To establish this enabling environment, the government must upgrade the country's essential infrastructures, such as reliable energy and a well-developed transportation system, including a first-class road network and rail lines.
- The government should also prioritize fiscal policies that encourage FDI influx, such as tax holidays, infrastructure development, reliable electricity supply, and strengthening security agencies to combat Boko Haram's random bombings in various parts, kidnapping, and militancy. This will go a long way towards creating employment opportunities for unemployed youth and reducing the country's high poverty rate by narrowing the gap between income and opportunity inequalities.

The study recommends that further studies should consider;

- A comparative study of the impact of FDI on sectoral output growth. This is because some sectors may react differently to foreign direct investment inflow and if such sector contributes more to total output in the economy, such sector becomes the target for economic growth.
- Investigation of the impact of FDI on the output growth of Sub-Saharan African countries.

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